



THE ART GESTALT

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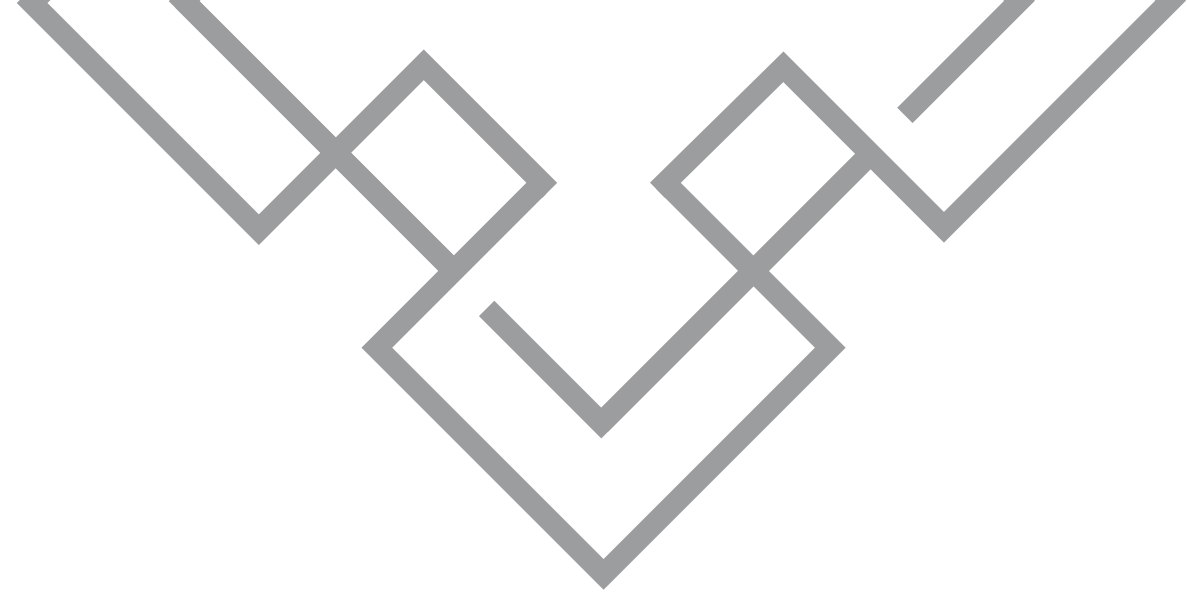
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NOTE BY CHAIRPERSON EMERITUS

The success of a nation depends on its commitment towards knowledge and pioneering innovation. Education is a basic prerequisite, which can significantly transform and uplift the lives of the citizens. In the last few years, education has been a global focus. I have always believed in Business for Good. Thus, at Histare, our contribution to this mission thrives through Histare Office of Research and Advisory - where a team of professionals works tirelessly to better the knowledge that the generations ahead would learn from and create a better world. I believe that India of tomorrow could lead the world in innovation and cutting edge research to find solutions to some of the most complex problems. Histare Group with all its knowledge, experience and resolve will play a significant role in it. I congratulate the team for its determination, passion, and focus. I am certain that these efforts will continue contributing to the nation's promising growth story.

Simran Wahi Vadehra
Chairperson Emeritus
The Histare Group

HISTARE OFFICE OF RESEARCH AND ADVISORY

This report is prepared by Histare Office of Research and Advisory's team of social professionals under the guidance of Educationalists and Analysts associated with us.

The Histare Office of Research and Advisory is an interdisciplinary professional organization of young researchers and art specialists focused on stimulating and supporting the study that strives to promote advances in the study of creativity and innovation for finding ways for the development of the world.

Histare Office of Research and Advisory is an institution for the study of creative ideology and advances research with a view to promote Development in the field of creativity. We represent a broad range of disciplines. The initiative encourages Cooperation among professionals and supports the application of research findings to broaden better knowledge absorption.

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Former Curator - National Gallery of Modern Art

Acknowledgement

We are grateful to the team that researched extensively on this concept of the Indian Art Ecosystem. This study especially focuses on the work that we intend to do.

We would like to thank Brig. Chukerbuti for his active participation. The success of this study has been through his collaborative efforts. Brig. Chukerbuti has been instrumental in building the right team for the study by providing his guidance.

In addition, we convey our gratitude to all those who have, in some way or another, contributed towards the successful completion of this study.

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A Glance at 2019

- Global sales of art and antiques reached an estimated \$64.1 bn in 2019. After two years of growth, declines in the three largest art markets contributed to a fall in sales of 5% year-on-year, returning the market to just above its 2017 level
- Contrary to the trend in value, the volume of sales grew by 2% year-on-year. The number of transactions reached an estimated 40.5 mn, the highest level in a decade
- Sales in the auction sector (including both public auction sales and private sales by auction houses) made up 42% of the market, down by 4% in share year-on-year, while the dealer sector accounted for 58%
- The three major art hubs, the US, the UK, and China, continued to account for a majority of the value of global sales in 2019, although their share decreased slightly by 2% year-on-year to 82%
- The US was the largest market worldwide and accounted for 44% of global sales by value. Sales declined 5% year-on-year to \$28.3 bn; however, the market remained at its second highest level in history
- After two years of resilient growth given the country's turmoil with the rollout of Brexit, the UK market declined by 9% in 2019 to \$12.7 bn, and accounting for 20% of the global market by value
- Sales in China fell by 10% in 2019 to reach \$11.7 bn, a second year of declining sales and accounting for 18% of the global market
- France was the one major market to buck the declining trend, with sales advancing 7% in value to \$4.2 bn, increasing its global share from 6% to 7%

Historical Performance

- The last decade started with a strong recovery in sales following the substantial contraction of values in 2008 and 2009 owing to the global financial crisis
- From the low point of \$39.5 bn in 2009, a newly booming Chinese market and a rapid bounce back in sales in the US pushed the market up to a high of just under \$65 bn by 2011
- The sharp ascent in China was unsustainable, and it halted in 2012, leading to a temporary contraction in global sales values
- Alternatively, strong market performance elsewhere over the two years that followed, particularly in the US, led sales to a historic high of \$68.2 bn by 2014
- Since that high point, diverging performance by region, sector, and segment tended to moderate the size of annual growth in industry-wide sales, although there was some volatility in the direction of sales growth during the five years
- Economic and political uncertainties affected market confidence in 2016, dropping sales to a low of \$56.9 bn, with less high-end supply in key sectors
- Growth returned in 2017, with strong sales at the highest end of the market and the auction sector outperforming the dealer market
- Growth slowed in 2018 in a slightly more cautious market, although both the auction and dealer sectors continued a positive trajectory, with a global advance in sales of 6% to \$67.7 bn. Dealers led the market, with almost twice the rate of growth of the auction sales

Decoding 2019

- In 2019, the performance of the dealer and the auction sectors diverged further from 2018. Dealer sales (covering both the primary and secondary market) rose moderately, while the public auction sector contracted, leading to an overall drop in sales
- In the wider global context, 2019 was a year marked by geopolitical tensions and trade issues, with a looming trade war and the rise of protectionism in key economies subduing investment, leading to reduced global growth.
- Although the market has increased in value by 62% from its low point in 2009, the reduction in sales in 2019 meant that the market reverted to a similar level of sales by value as achieved in 2011, and remained 6% below its peak in 2014
- Despite the art market having often shown great resilience to underlying events in the economy, in less certain or declining economic climates, the perception among vendors can be that there is greater risk and less potential for better-than-anticipated results in the public auction sector, which can steer some to hold back or sell privately. This appears to have been the case once again in 2019, particularly in the two largest auction markets of the US and China, with the global public auction sector contracting by 17%, while both private sales by auction houses and dealers grew
- There were some strong sales at auction at different price levels, including those in excess of \$1 mn, the very highest end of the fine art market was significantly thinner in terms of supply, with a reduction in the number of lots sold by 35%, which contributed to the overall contraction in sales.
In the dealer sector too, although aggregate sales rose by 2%, performance within the market was mixed, with certain segments continuing to struggle and sales at the very highest end pulling up averages

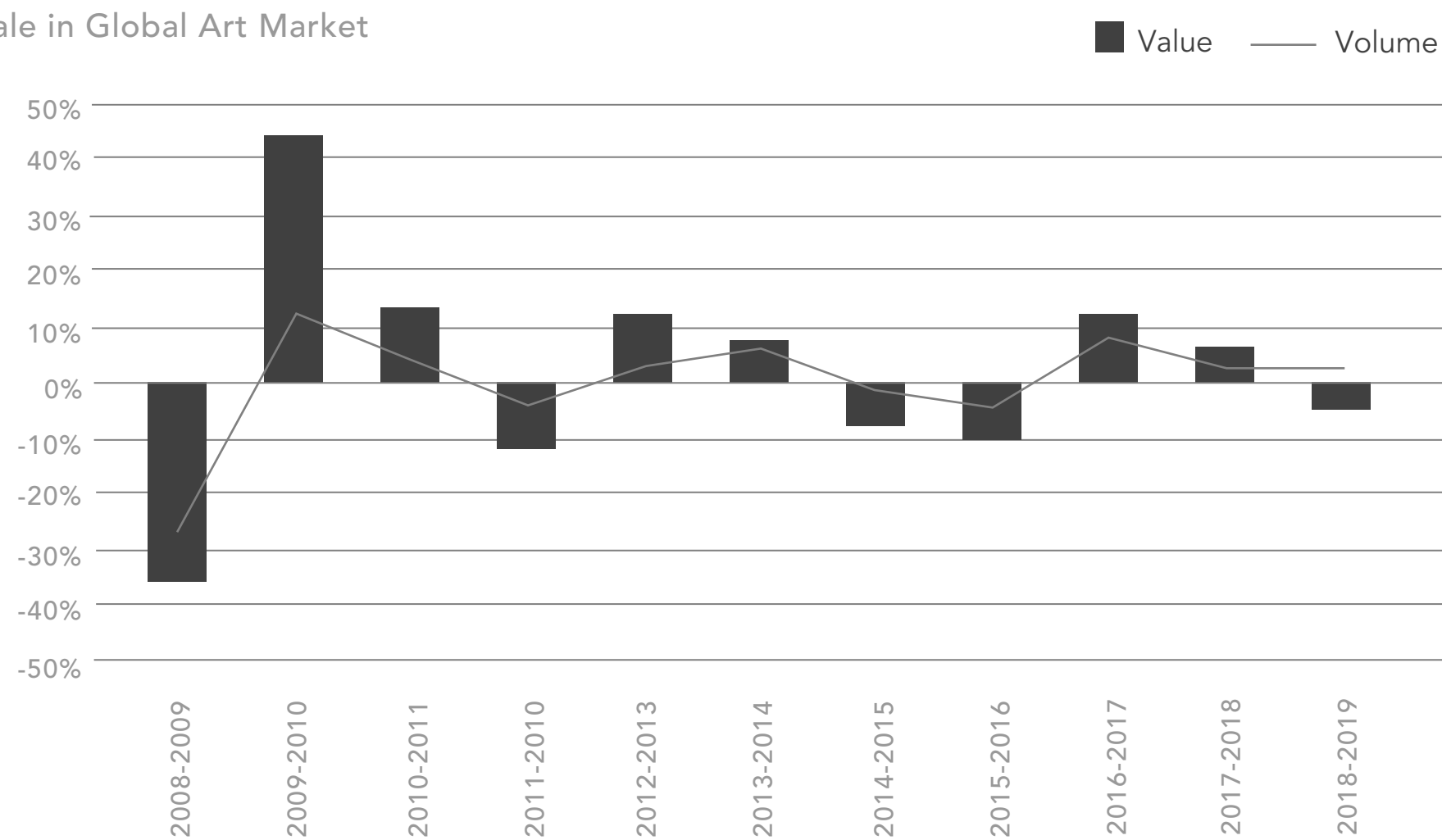
The Last Decade

Year	Value (in \$ Mn)	Volume (in Mn)
2009	39,511	31.0
2010	57,025	35.1
2011	64,550	36.8
2012	56,698	35.5
2013	63,287	36.5
2014	68,237	38.8
2015	63,751	38.1
2016	56,948	36.1
2017	63,683	39.0
2018	67,653	39.8
2019	64,123	40.5

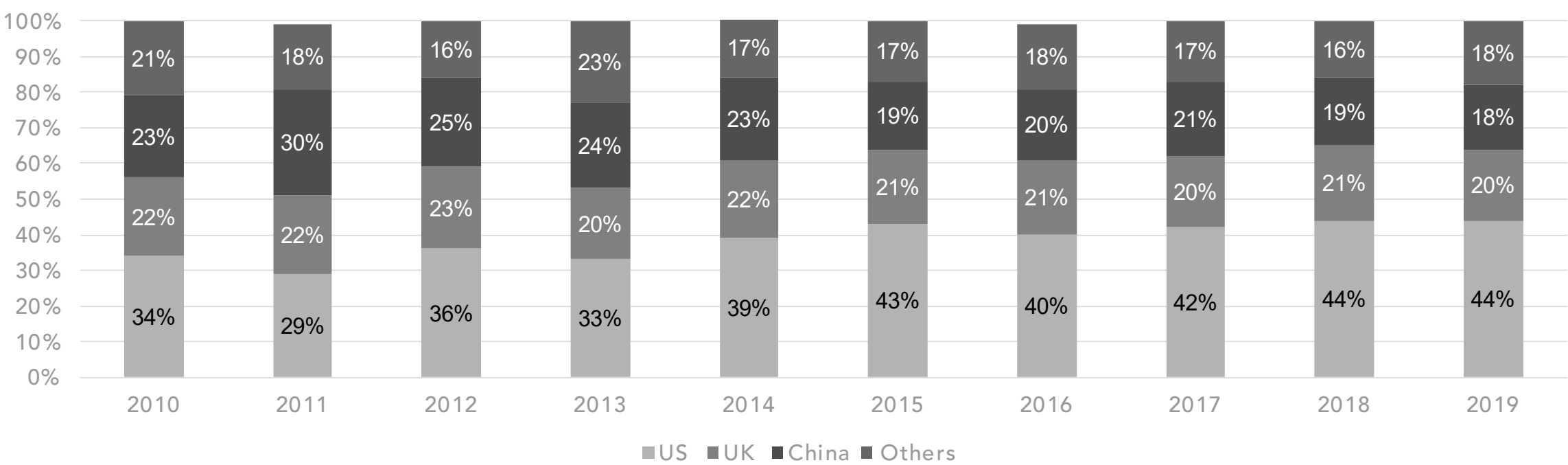


The Last Decade

Growth in Sale in Global Art Market

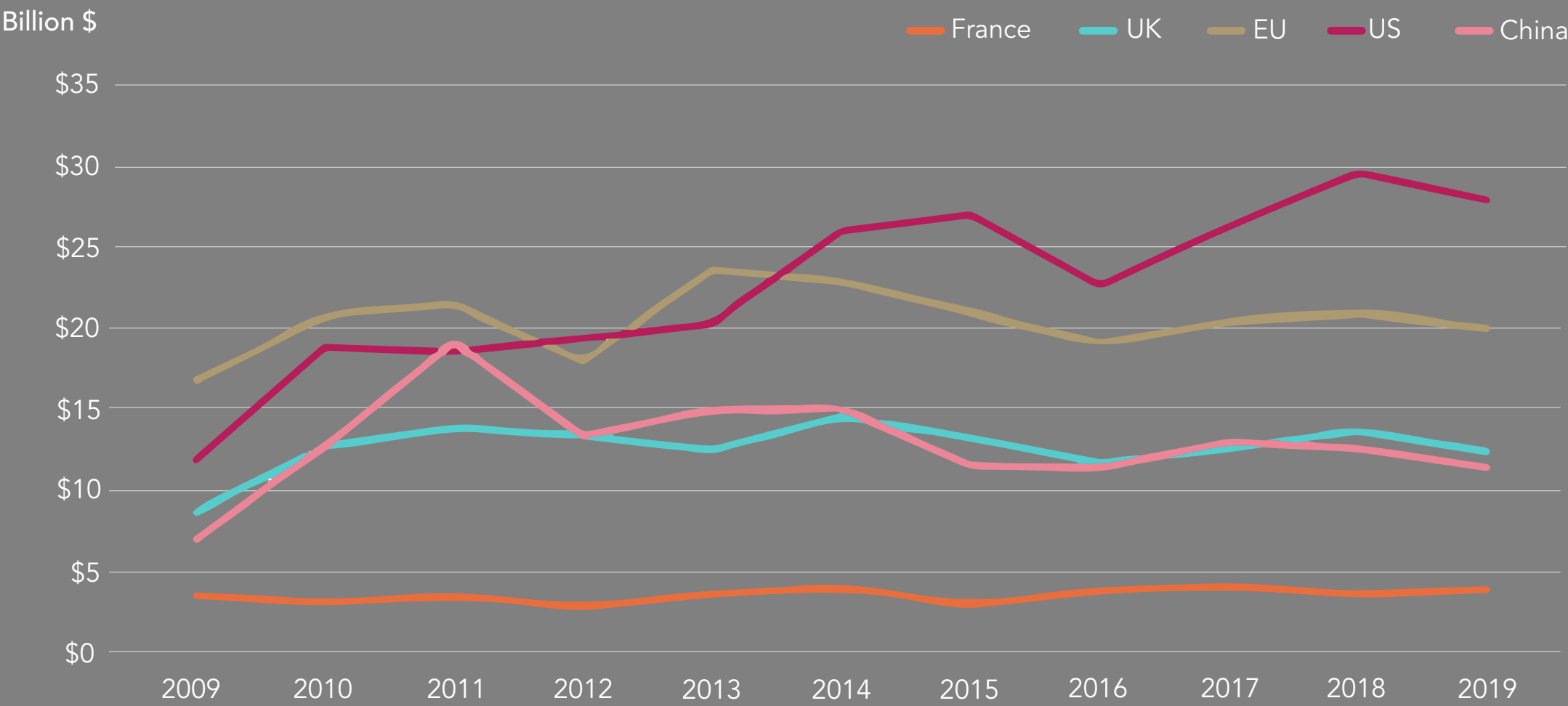


Global Art Market share of US, UK and China 2010-2019

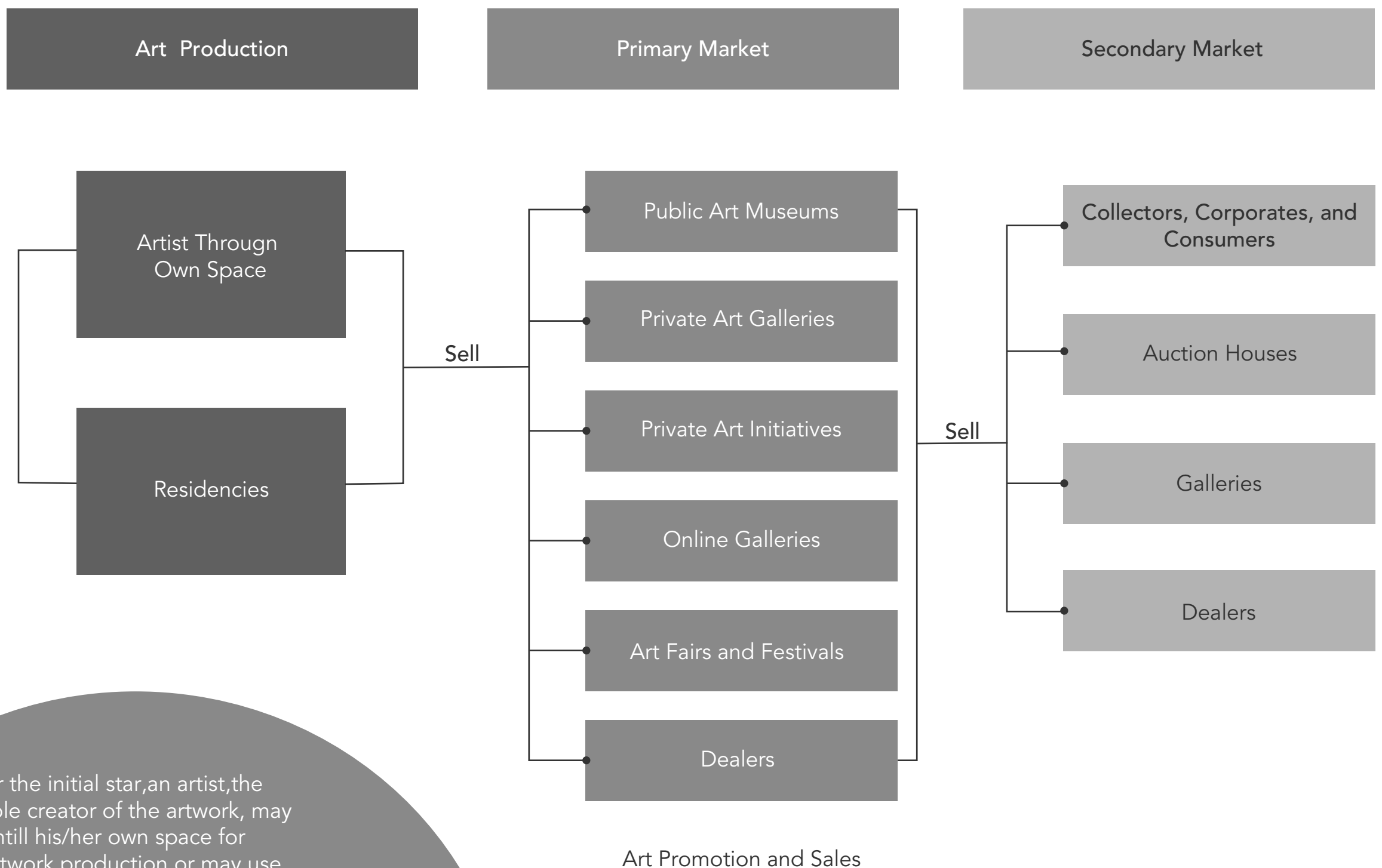


The Last Decade

Sales in the Major Art Market 2009- 2019



Understanding the Art Industry Value Chain



- At the initial stage, an artist, the sole creator of the artwork, may utilize his/her own space for artwork production or may use an art residency.
- Residencies are institutes that provide artists with programs and opportunities that enable an ideal environment for ideas and inspiration.

Art Resale - The Secondary market comprises artwork that has already been sold at least once, with collectors and patrons looking to resell their collection to buyers that want to diversify theirs.

The Intricacies of the Dealer Market

Sneak Peek of the Dealer Vertical

- Sales in the gallery and dealer sector were estimated to have reached \$36.8 bn in 2019, growing just over 2% year-on-year
- The magnitude of the year-on-year changes varied widely: the segment of dealers with turnover between \$500,000 and \$1 mn reported the biggest decline (–9%) and those with sales from \$250,000 to 500,000 grew the most at 17%
- Dealers were more optimistic about their sales in 2020, with 42% expecting an increase versus 30% the previous year. The lower end of the market showed a higher level of optimism in 2019, with 47% of dealers with turnover less than \$1 mn expecting sales to rise in 2020 versus 29% in the \$10 mn plus segment
- The majority (84%) of individual transactions in the dealer sector were for prices below \$50,000, but these represented a smaller share of the value of sales at 27% in 2019, down 10% from 2018, with more value shifting to the higher end
- 57% of the total sales of galleries working in the primary market came from their top three artists, with 43% from just one artist (stable on 2018)
- The representation of female artists by galleries working in the primary market rose 8% year-on-year to 44%, while their share of sales also increased from 32% in 2018 to 40% in 2019

Understanding the Dealer Vertical

- The dealer market is highly fragmented, and is made up of close to 296,580 businesses covering both the primary and secondary markets, which account for the bulk of companies and individual agents operating in the art trade

- Of these businesses, less than 5% are responsible for more than 50% of the value of sales in the sector which goes to show the level of concentration in this sector

The vast majority of the dealer sector is composed of small businesses, both in terms of headcount and sales turnover

- The poorest performing segments of the market for the last three years have been those dealers at the lower end, particularly dealers with turnover less than \$500,000 per annum. Things did not change in this sector in 2019 either

- In 2019, it was the segment with turnover below \$250,000 reporting a decline of 6%. This indicates significant pressure on this lowest tier of dealers, after a decline of 18% in this segment in 2018, but also improvements in the outcomes for those in some middle ranges

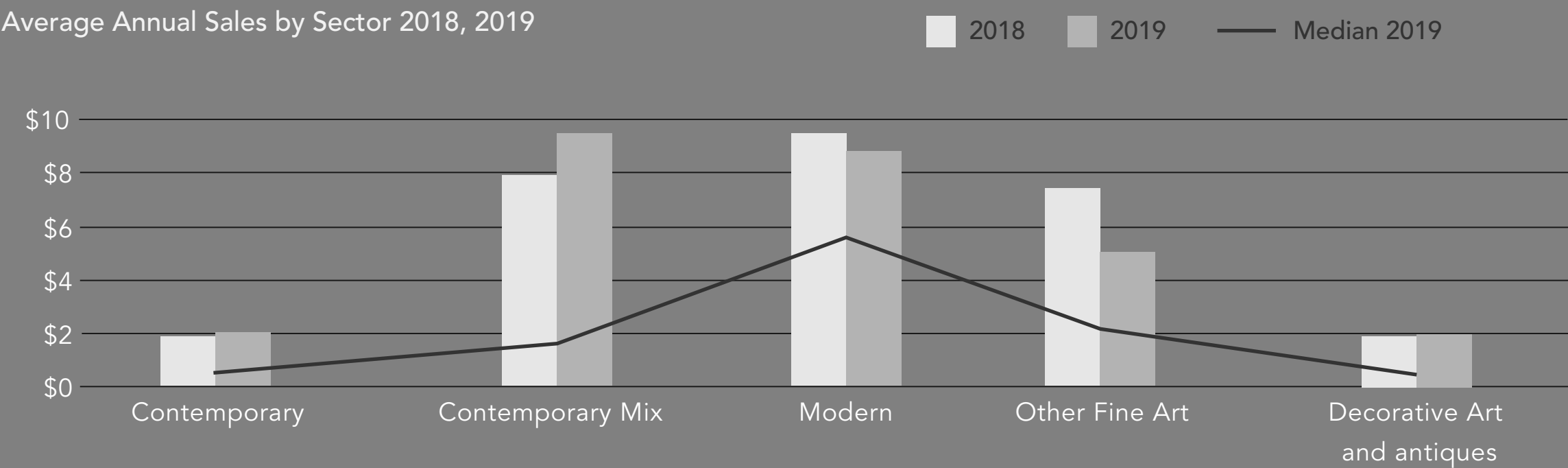
- Dealers in the range from \$250,000 to \$500,000 saw the greatest improvement overall from a decline in sales in 2018 to growth of 17% in 2019

- Dealers in the range of \$500,000 to \$1 mn, where aggregate reported turnover declined 9% versus a slight increase of 3% in 2018

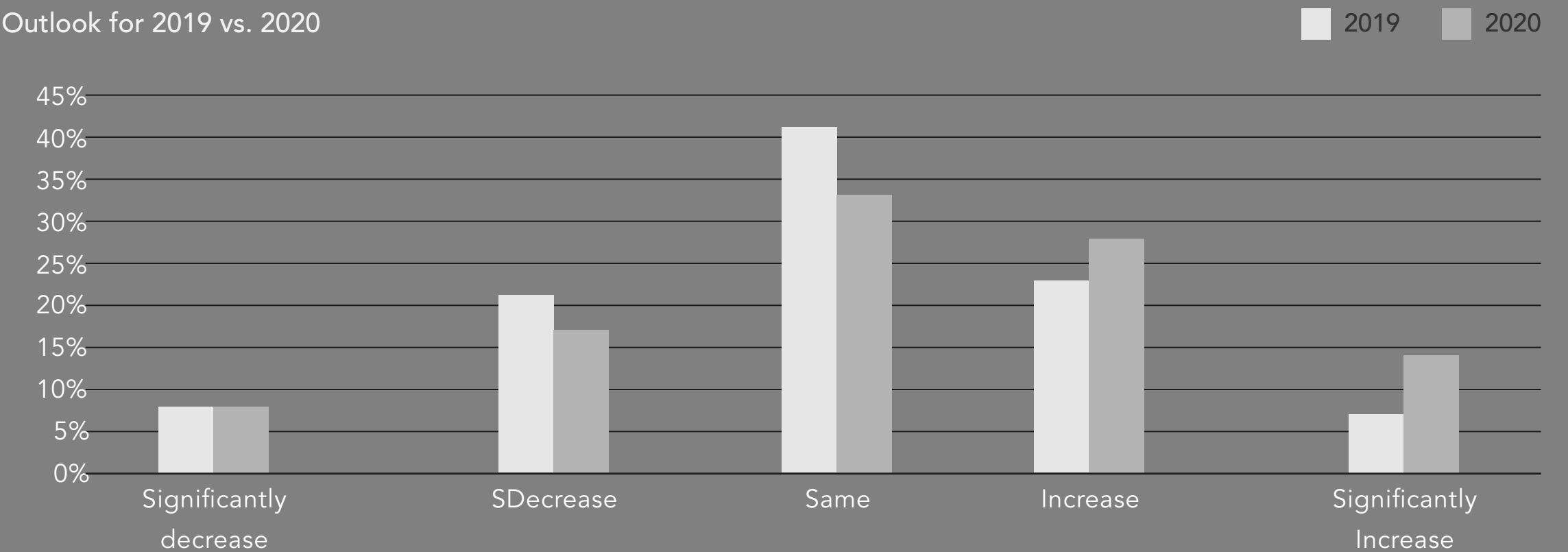
- Those in the \$10 mn to \$30 mn range also saw an aggregate decrease in value (of 4%) after a positive year in 2018. These losses were offset against the advance of the thin segment of dealers at the highest end above \$30 mn

Understanding the Dealer Market

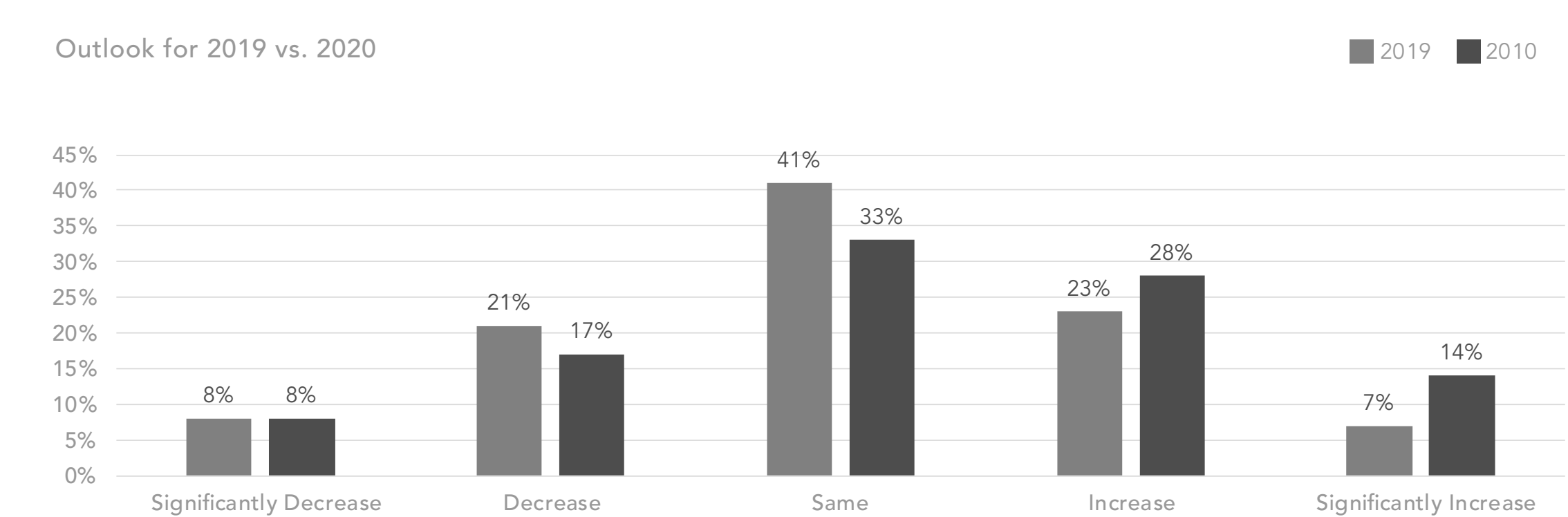
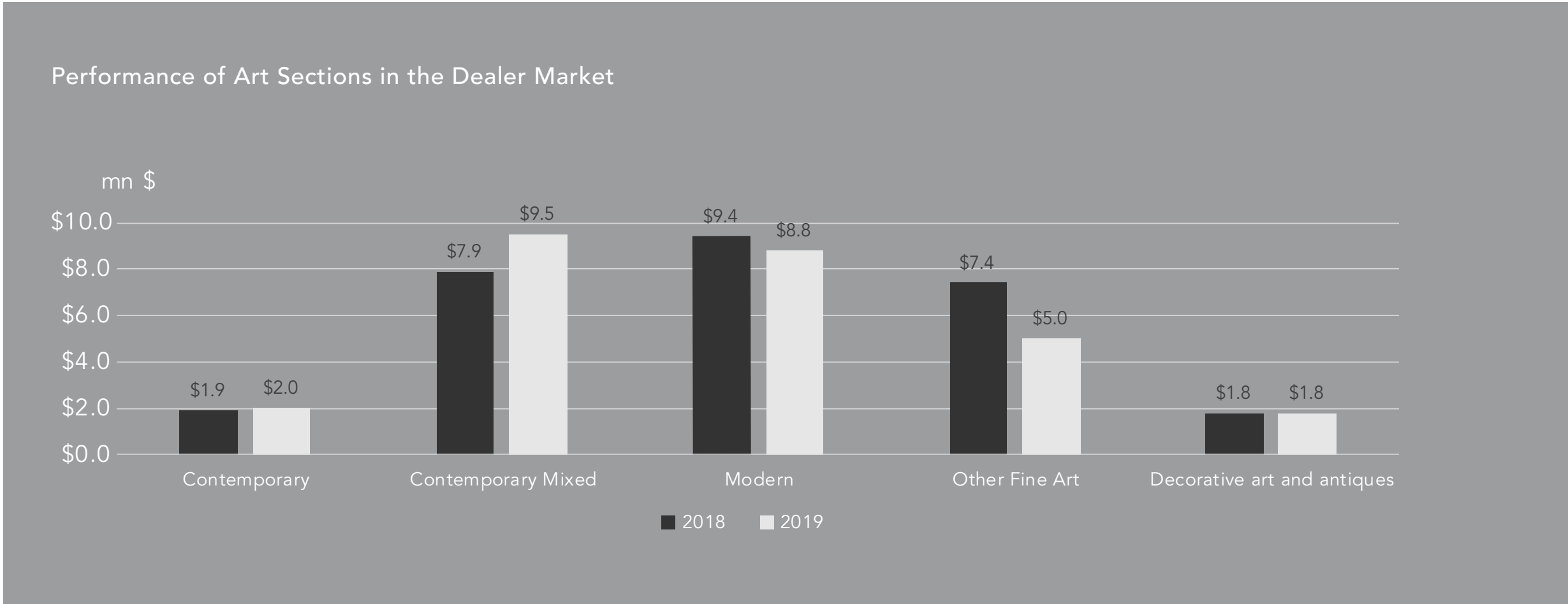
Average Annual Sales by Sector 2018, 2019



Outlook for 2019 vs. 2020



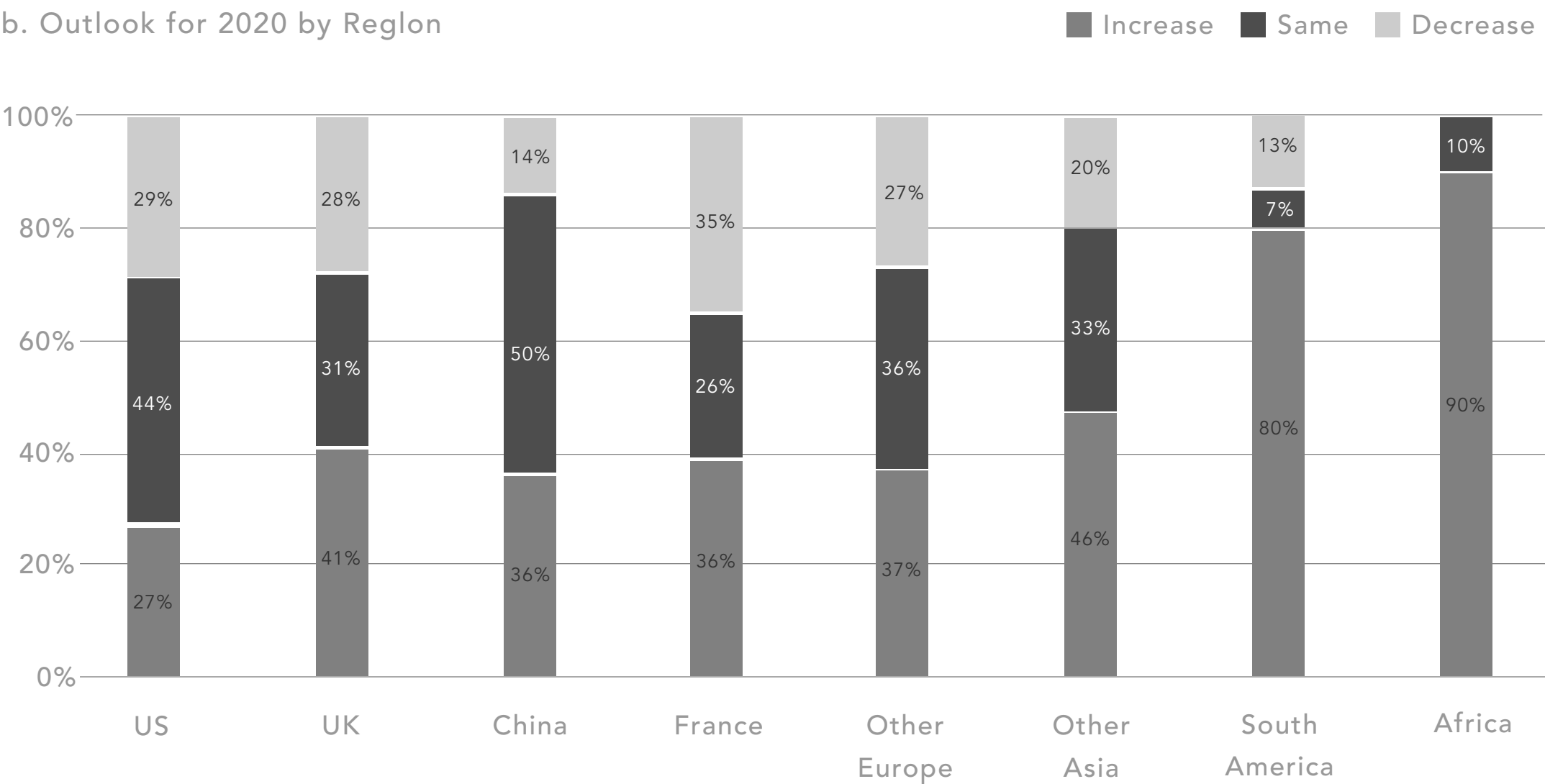
Pitting the Present Against the Past and the Future



Dissecting the Outlook by Geography

Dealer's Views on Future Sales (Continued)

b. Outlook for 2020 by Region



The Intricacies of the Auction Vertical

Indian Art and Auction Market

- Before the advent of the art market in India, the small group of Indian art buyers had to go abroad to buy indigenous art works due to lack of an Indian Art Infrastructure. Indian artists depended on international demand, but eventually the Indian infrastructure developed piece by piece to answer the growing demand amongst the new buyers in India
- Christie's, owing to the sales to Indian buyers in London and New York, felt there was a new generation of collectors developing in India and decided to give it a shot by hosting an auction in 2013 and breathed life into the Indian Art Market.
- The growing demands across the globe led to demand of more culture gatherings like art fairs where new art collectors from emerging economies can meet other people in the field, exchange ideas and, of course, purchase pieces of art
- The Indian Art Fair, identified by Van Hest and Vermeylen as the most prestigious art event of India paved the way for the industry
- The success of the India Art Fair is not only cloned at different dates and in various cities, also during the four day fair, cultural events are organized throughout the whole city. Exhibition openings and other art related gatherings all over the city of Delhi spread the positive impact of the India Art Fair further than the exhibition grounds
- There is an obvious consensus within the literature that the Indian art market is emerging and that cultural events like the Indian Art Fair contribute to this growth. Scholars lay their focus more on the upcoming middle and upper class of India being the driving force behind the emergence of the art market

Sneak Peek into the Auction Market

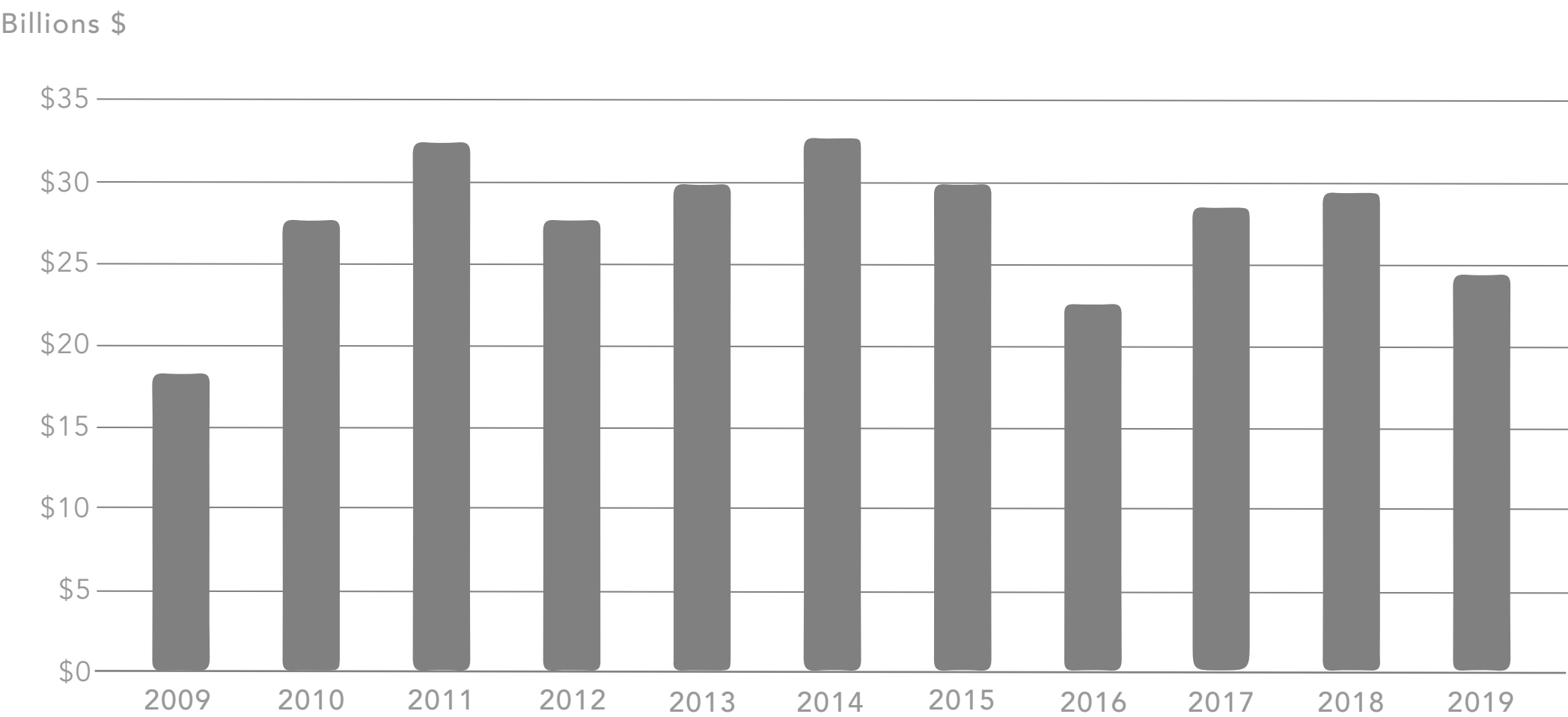
- Sales at public auction of fine and decorative art and antiques (excluding auction house private sales) reached \$24.2 bn in 2019, down 17% year-on-year as values decreased in the key global auction hubs
- Despite the decline in public auction sales, private sales increased, including sales of over \$1.8 bn at Christie's and Sotheby's
- The three largest auction market hubs – the US, China, and the UK – maintained their dominant position in 2019 with a combined share of 84% of the market, down 4% year-on-year. France was one of the best performing markets, increasing its global share by two percentage points to 7%
- Works selling for more than \$1 mn accounted for 55% of the total value of fine art sales in just 1% of the lots sold. The segment of works sold for over \$10 mn has been the key driver of growth in value since 2009; however, it was the worst performing in 2019, declining 39% in value (and with 35% fewer lots sold)
- Post-War and Contemporary art was the largest sector of the fine art auction market in 2019, with a share of 53% of global fine art auction sales by value. Sales reached \$6.1 bn, a decline of 10% year-on-year. Works created in the last 20 years accounted for 23% of the value of sales
- The Modern art sector remained the second largest in the fine art auction market in 2019, with a share of 25% by value. After two years of strong growth, sales declined sharply in 2019, falling 32% to \$2.9 bn
- Sales of all Old Masters works reached \$843 mn in 2019, falling 10% year-on-year, the sector's third year of declining values. Just under half (46%) of the value of Old Masters works sold in 2019 were by European Old Master artists

Understanding the Auction Vertical

- Sales at public auction of fine and decorative art and antiques (excluding auction house private sales) reached \$24.2 bn in 2019. After two years of positive growth, there was a significant year-on-year decline in sales of 17% as values decreased in the key global auction hubs
- The auction market remained above its level in 2016 but was 13% below values achieved 10 years previously in 2010
- In spite of the prices of works being sold were in excess of \$50 mn, the reduction in value was largely driven by a lower number of very high-priced lots coming up for sale, including a reduction of over one-third in the number of fine art lots sold over \$10 mn
- Underlying problems in the economies of the biggest auction markets – the US, China, and the UK – may have also had a negative impact on sales, with more vendors choosing to sell privately in declining or uncertain markets, as the risk at auction is greater and its potential for an unexpected upside significantly reduced
- Political uncertainties may also have driven sales towards the private market in 2019, as evidenced by the substantial private sales at some of the major auction houses as well as by the increased share of the market held by dealers
- While the broader economy had an impact on vendors' and buyers' plans, other factors such as lack of exceptionally large estates coming up for auction in 2019 reduced values versus 2018 coupled with lower number of extremely highly priced outlier lots

Understanding the Auction Vertical

Global Market for Public Auction Sales 2009-2019



Breaking Down Auction Figures

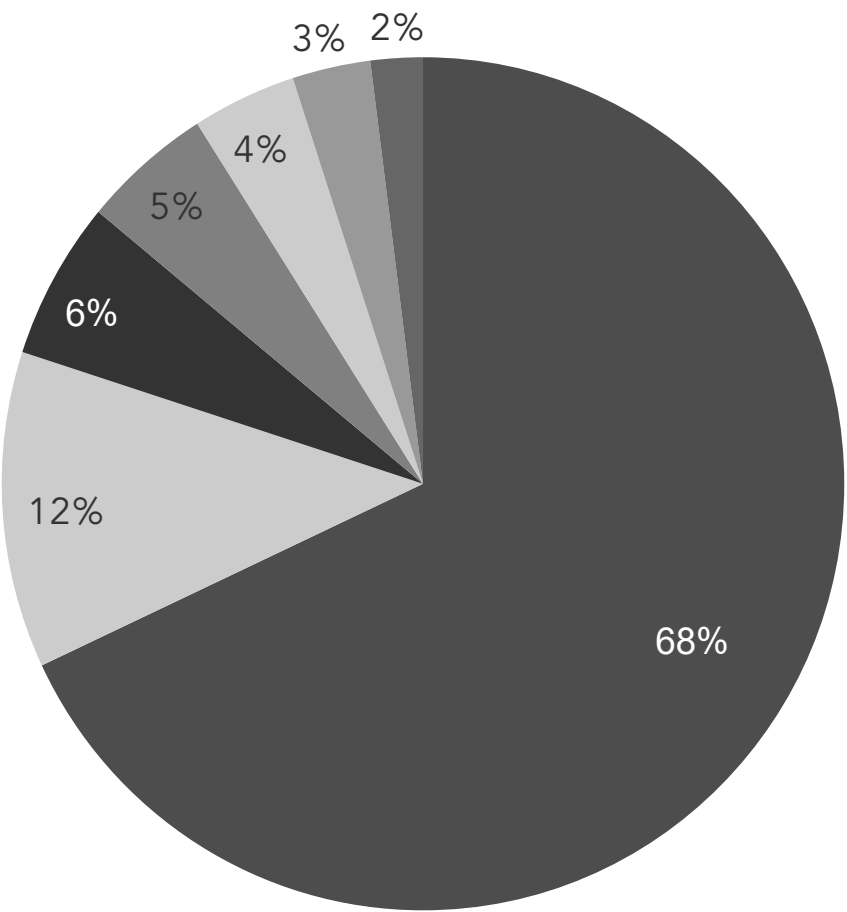
- Changes in the volume of auction sales in the global fine art and decorative art and antiques market are often less conclusive indicators of market performance than trends in its value, with many auction houses selling large volumes of decorative art and collectibles that can vary widely among different sale types and regions over time
- The volume of fine art auction transactions declined 11% year-on-year in 2019. China and the US had an equal share of global sales volumes (both at 19%), while the UK accounted for 18% and France for 10%
- This indicates that although value was heavily concentrated in the three major markets, the volume of transactions was more much globally diversified, with the three top markets accounting for 56% of the total fine art sales in 2019
- While the auction market expanded rapidly from 2000 to 2007, the global financial crisis dampened growth, with the market losing 44% of its value from 2007 to 2009. Although a booming Chinese auction market and quick recovery in the US assisted a rapid recovery in 2010, and – with some annual volatility – sales reached a high of \$32.7 bn by 2014
- Since that point, the volume of lots at the highest end of the market has played an outsize role in determining the market's growth, with a shortage of these in 2016 causing the market to drop back to its lowest level since 2009
- After two years of consecutive growth, sales reached just under \$29 bn in 2018. However, the market cooled in 2019 as the volume of top-priced lots fell, leading to declines in the major art markets where these higher priced sales are concentrated, and an aggregate decrease in sales overall

A Dive into Auction Houses

- In top-tier houses such as Christie's, Sotheby's, and Phillips, the share of fine art sales has increased by value over time and accounted for an average of around 76% of total sales in 2019, down 4% year-on-year
- However, in the major auction houses in China, decorative art and antiques have a larger share, with fine art sales representing 59% of auction sales by value in 2019, a rise in share of 7% year-on-year
- The structure of sales at Heritage Auctions, the sixth largest auction house by value of sales, is also substantially different, with fine art having a minority share
- Christie's continued to lead the public auction market in 2019 with public auction sales of \$4.9 bn, down 19% year-on-year. Including private sales, total revenues for Christie's reached \$5.8 bn, down 17% in total from 2018
- While public auction sales declined, private sales increased by 24%, to \$811 mn, a second annual increase year-on-year, and advancing their share from 9% in both 2017 and 2018 to 15% of their total sales. The auction house also saw a 3% increase in online-only sales
- Sales at public auction for Sotheby's were down 9% from 2018 to \$4.8 bn, while their total sales reached \$5.8 bn, down 5% from 2018. These included \$990 mn in private sales, decreasing slightly from just over \$1 bn in 2018 (their highest total since 2013), but having advanced 70% from 2016
- Sotheby, which has been a public company since 1988 went private in 2019 through a purchase valued at \$3.9 bn by BidFair USA, wholly owned company of Patrick
- China's Poly Auction was again the third largest auction company, with public auction sales of \$1.1 bn, down 8% from 2018, representing a second consecutive year of declining sales

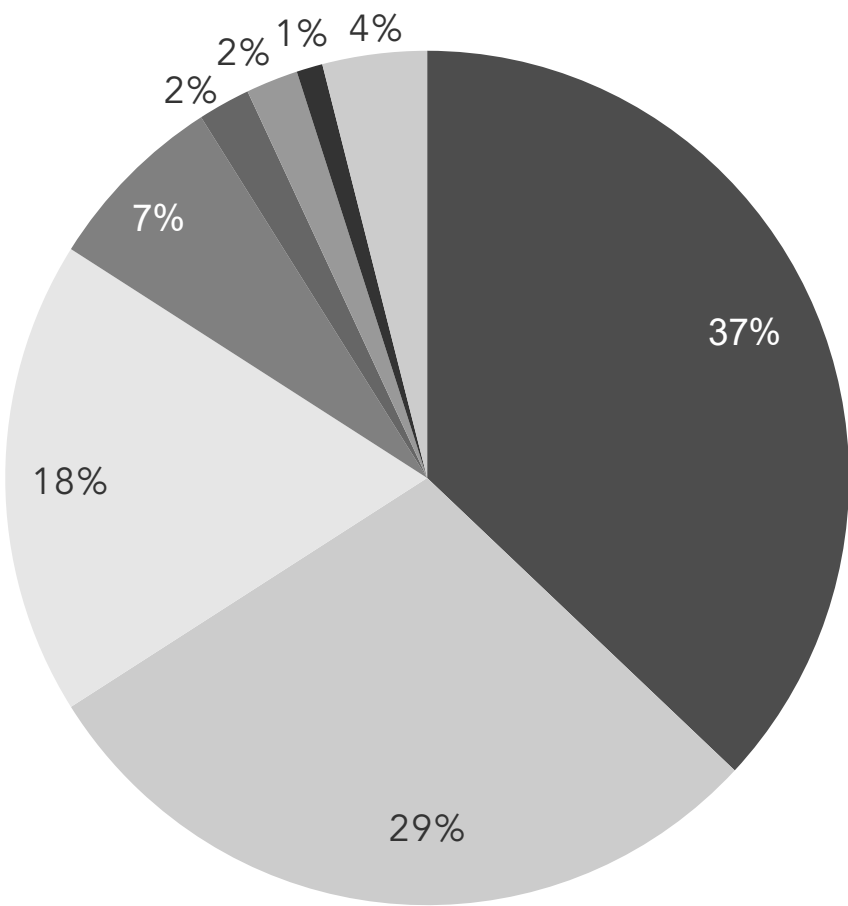
A Dive into Auction Houses

Share of Sales by Buyer Type for
Second-Tier Auction Houses in 2019



- Private collectors
- Art trade
- Interior designers
- Art advisors
- Private institutions
- Local/national museums
- International museums

Auction Market Global Share by Value in 2019



- US
- China
- UK
- France
- Switzerland
- Germany
- Austria
- Rest of world

Looking Forward

- Although the challenges faced by individual businesses vary widely, one common issue that consistently ranks at the top of concerns for the art sector is how to find new clients
 - For established galleries, this is a key concern, as some of their existing clients who have supported them for decades reach capacity and age out. For new businesses, a key issue is reaching enough clients to make their businesses sustainable and in a position to grow
 - Finding new clients has ranked as the top challenge not only for the last three years, but also in 2019 across most regions and all turnover levels in the sector
 - Although many dealers have remarked on the ability of the art market to weather changing economic contexts, the challenges of operating in a highly unpredictable macroeconomic environment have had an impact, with many focusing on ways to curb costs and widen and diversify their client base
 - Many dealers have remarked on their increasing need to plan strategically for the future under a variety of scenarios and economic contexts, rather than relying on their current models and clients
 - The economy and demand for art and antiques was again rated the second highest concern by dealers overall. Although political instabilities ranked somewhat lower than the economy overall, nearly every dealer interviewed in 2019 commented on the distractions and mood-changing impact that politics can have on the market in which they operate
- Some dealers have noted that while ultra-high net worth individuals are not necessarily worse off under current administrations, it has nonetheless been a challenging period and 'more hard work' to make sales when there are so many social and political issues coming to the fore

Understanding the Hurdles

Challenges	2019 Rank	2018 Rank	2017 Rank
Finding new clients	1	1	1
The economy and the demand for art and antiques	2	2	2
Participation at fairs	3	3	3
Internet and online sales	4	4	4
The Increased regulation of art market and cross-border trade	5	5	5
Overheads for business and debt	6	6	6
Political instabilities	7	7	7
Competition with auction houses	8	8	8
Accessing supply of objects, work of arts, artists	9	9	9
Competition with other galleries	10	10	10
Sustainability issues and environmental impact of the art market	11	11	11
Currency issues and exchange rate fluctuations	12	12	12
New technologies and their effects on businesses (e.g. blockchain, AI / machine learning, AR / VR)	13	13	13



Collectors' Affaire™

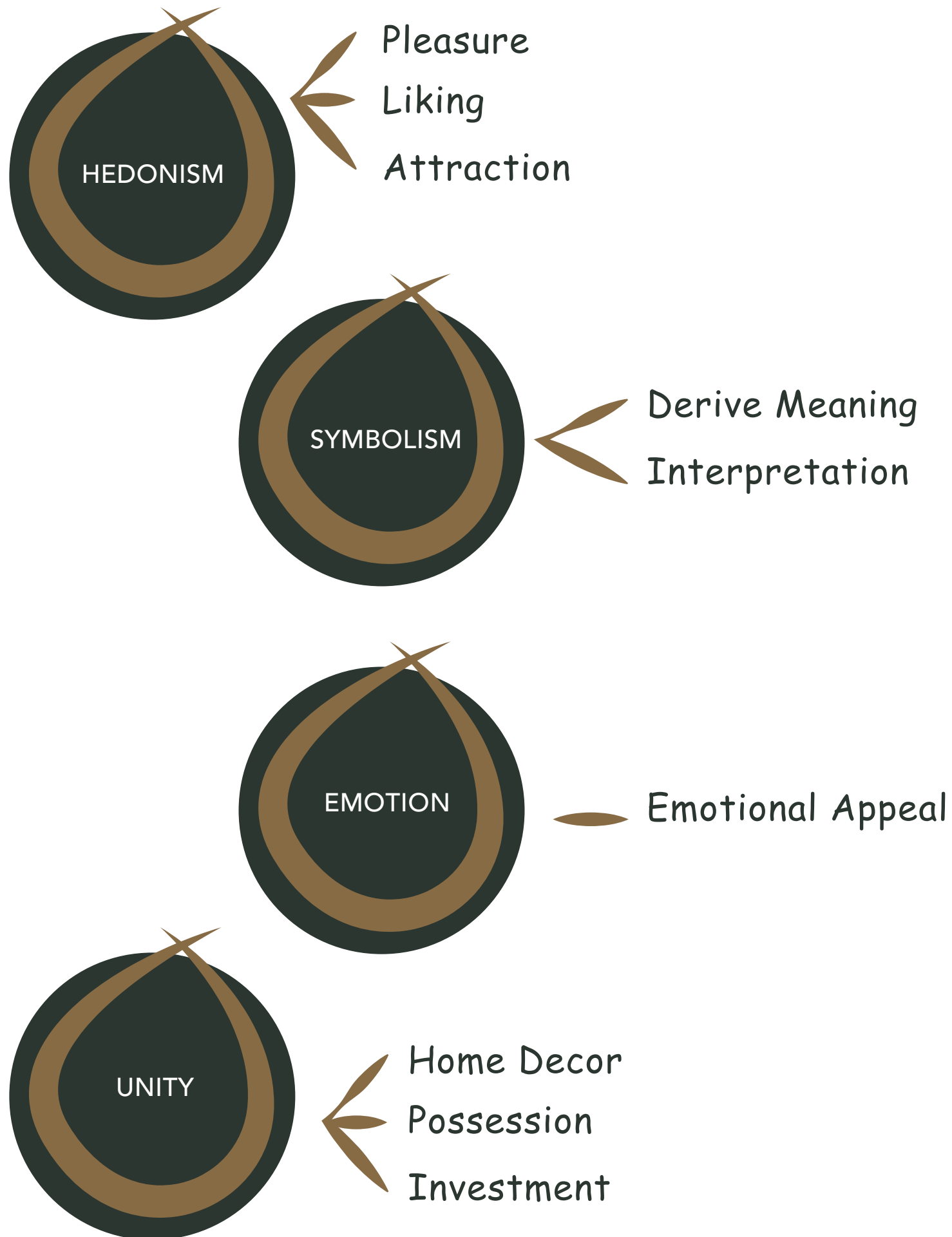
Trends Driving the Industry

Expanded Global and Remote Access: When art was examined and sold exclusively at auction houses, it made sense that art market activity would be concentrated in cities like New York and London. But today, internet-based auction houses such as Paddle8 and Auctionata enable far-flung buyers and sellers to connect with one another, decentralizing and expanding the marketplace. That has contributed to the globalization of the market and opened opportunities for regional dealers to reach a broader audience. Klein predicts that top-priced artworks will continue to be sold at live auctions, but the vast majority of sales under \$1 mn will move online. It also puts “pocket listings” — art for sale that’s made available only to a small group of prospective buyers — on the endangered species list

Power Shifting to Collectors From Gallerists: The art world is in for a shake-up thanks to a confluence of several trends. First, virtual-reality technology promises to give more people access to art works in private collections or faraway galleries. Second, data-focused startups such as Aura solicit user comments about art. When a broad base of art aficionados weighs in on new art, some of the star-making power that has long been the exclusive domain of collectors and gallery owners transfers to the vox populi. Mass audience tools and virtual- and augmented-reality platforms also promise to expand the reach of art, enabling more people to view more work, and build community among fans of different artists and media. A second class of art-tech businesses aims to apply big data to the art market in a different way: assimilating market trends and past performance to predict the asset value of new works

Tracking Art and its Provenance Going Digital: Two of the trickier aspects of art purchasing — at least outside of the major auction houses — are tracking an artwork’s provenance and facilitating the transaction itself. Deloitte’s Luxembourg team recently debuted a prototype of a product that could employ blockchain technology to reliably track the provenance of a work. Startups such as Athena Art Finance Corp. allow buyers to pay for their art over time using the art as collateral, therefore removing friction from the purchasing process. The biggest factor driving the art market toward greater transparency may not be technological but cultural: The auction houses and galleries that sell high-end art know they need to change

Decoding the Buyer



Indian Art Collectors

- The collecting of Indian art and the tribe of Indian art collectors really started to take shape post Independence. They were a handful of galleries back then, most of which do not exist today, but the real collectors in the 40's and 50's were largely friends, acquaintances and relatives of the artists who loved the artists, and collected their work for the pure pleasure and aesthetics that appealed to their senses. Their purpose behind collecting was never the fame of the artist or the monetary value that art provided
- Raja Ravi Varma, who is considered to be among the greatest Indian painters, started what can be deemed as the revolution in Indian consciousness with his European style and technique but with a beautiful union of Indian tradition. Others followed at the turn of the century like M.V. Dhurandhar, Hemen Majumdar and Amrita Sher-Gil, and their works are prized possessions today. Then came The Bengal School of art and artists who were the first ones to consciously challenge the idea of modernism by opting out of both internationalist modernism and historicist indigeneness, and try to create something of their own. The old Bengal School can safely be deemed as what was the beginning of the art renaissance in India
- Art galleries in India slowly started opening shop around the 60's and by the late 80's the interest among collectors of Indian art started gaining momentum. Those galleries were like a second home to the artists, particularly of the 'Progressive Arts Group' which began to showcase their works and develop deep relationships with the likes of Francis Newton Souza, S.H. Raza, M.F. Husain, Akbar Padamsee, Sadanand Bakre, Ram Kumar, Tyeb Mehta, K.H. Ara, V.S. Gaitonde, Krishen Khanna and many more
- Art collectors began acquiring works directly from the galleries and willy nilly became patrons of these artists as well, by commissioning work from them. Later, as the years rolled by, the Internet age brought art collecting to a new level. One no longer had to make long arduous trips to galleries and artists all over India. Instead, everything started becoming accessible on your computer. Art galleries and art auction houses began mobilising the power of the Internet and collectors had access to Indian art not just in India but globally as well
- Today, buying art online in India is probably 50 per cent of total sales, though the issue of viewing works in person, particularly of high value, remains a challenge. Of late, auction houses have managed to solve that problem to an extent by making 'viewings' available across major cities. In India, there was a huge spurt in the younger generation, most in their late 30s and 40s, as art buyers who make up 40% of the Indian market now, which is a good sign. For the Indian market to mature and grow there has to be a huge shift in the buyer profile

A Few Prominent Indian Buyers

- **Basant Kumar Birla:** Basant Kumar Birla (12 January 1921 – 3 July 2019) was an Indian businessman of the Birla family. He was chairman of the Krishnarpan Charity Trust, BK Birla Institute of Engineering & Technology (BKBIET) and various educational trusts and institutes. Mr. Birla was an avid art collector having amassed an extensive collection of paintings throughout his life
- **Tina Ambani:** Tina Ambani's captivating collection - not limited to a particular genre or a school - spans modern & contemporary Indian art. The works document a vast array of themes like history, culture and lifestyle with meticulous attention to detail and spellbinding intricacy. These are the works that have struck a deep chord with her at an emotional level and also relate to her personal journey
- **Girdharilal Vaid:** Rtn. Girdharilal Vaid was a Rotary member and was active in the fellowship committee. He was a Patron of Modern Art and had a deep interest in literature, philosophy and yoga
- **Priyanka Gill:** Priyanka Gill was in spotlight when she acquired late Tyeb Mehta's work from the 'Mahisasura' series at one of the Christie's auction sales for over Rs 5 crore. Among her other favorite artists are FN Souza, MF Husain, SH Raza, Subodh Gupta, and Sujata Bajaj
- **Malvinder Singh:** Renowned businessman Malvinder Singh has built a sizeable collection of modern & contemporary art. He has a penchant for photography acquired from his late father Parvinder Singh. This avid art collector has broadened his vision and love for art with Religare Arts Initiative that aims to bring creative expressions closer to the masses through understanding and appreciation
- **Minal Vazirani:** With over 20 years of collecting experience, as well co-founding Saffronart.com, India's very first online auction house, some 17 years ago, Minal Vazirani is one of the leading art collectors in India today. Art for her is something you must want to live with, and for a great collection she's a strong believer in "training your eye" by constantly engaging with art

A Few Prominent Indian Buyers

- **Harsh Goenka:** Growing up in Calcutta, Harsh Goenka was put in charge of cataloguing the family's miniature art. It was important enough to draw foreign scholars, but he found it tedious, thereby losing interest in the tradition. Later, in Bombay, he found himself drawn to the moderns, learning from his early mistakes, when he tended to pick up the merely decorative. Goenka was numbered among the major collectors till he went cold turkey a few years ago, when inflated prices and thoughtlessly churned-out art put him off. But he's back now and his tastes have evolved: From the initial investment in Bengal School to, later, Baroda; from works "of violence or strong paintings", to "calmer works and many abstract artists find a place in his collection
- **Kiran Nadar:** With her characteristic cheer and bonhomie, Kiran Nadar manages the mojo in the Nadar household, filling it with like-minded friends and a penchant for the good things of life. A bridge player who travels extensively, she began to collect art soon after she married industrialist Shiv Nadar; the couple recollects driving down in their Fiat to Triveni Gallery in New Delhi to admire a nude male torso by Rameshwar Broota, while worrying about what his mother would think of it. With some of the most talked-about works of modern and contemporary art in their collection, which grew so large that some of it had to be put into storage, the Nadars commissioned the Kiran Nadar Museum of Art (KNMA) in January 2010. Through this, Kiran has become one of the key figures of the Indian art world as much for her clout as for the purported size of her purse, which she wields on the museum's behalf
- **Parmeshwar Godrej:** When others were giving the term a bad name, Parmeshwar Godrej grabbed media attention as a 'socialite', not to focus on herself but on the many causes she supported. It has been the reason she has pulled off international fundraisers and other events, which drew global celebrities; she's hosted elaborate parties at the Godrej beachfront property in Mumbai with rare panache. A hobby painter when she was young, she took to collecting instead, as she was drawn to the works of different artists; eventually turning into a patron, on the way forming lasting friendships, such as the one with MF Husain, with whom she was part of a mutual admiration society

A Few Prominent Indian Buyers

Lakshmi Mittal: Mittal is hardly known for being media shy, nevertheless it seems he has managed to keep some aspects of his life private. Apparently he purchased the Serpentine Gallery Pavilion designed by Herzog & de Meuron and Chinese artist Ai Weiwei for his personal collection. The 2012 Pavilion in London features a landscape in cork, with a roof that collects water and becomes a reflecting surface for the sky. Rare glimpses of Mittal's mansions have revealed an eclectic collection of vases, tapestries and Western art, but no noticeable Indian modern art. His London home, acquired in 2008, is said to have come with a well-curated collection of works by European artists. He's not yet been spotted at Christie's or Sotheby's auctions of the subcontinent's masters

Kiran Mazumdar-Shaw: Kiran Mazumdar-Shaw and spouse John Shaw have been described as insatiable collectors; they're quiet and dignified, and live in a home surrounded by works of artists—known and emerging, with or without promise—reacting purely from the gut rather than being driven by their market or value. Their eclectic collection has seeped out of their home into their offices, where it is viewed by employees as well as visitors and guests

A Few Prominent International Buyers

- **Roman Abramovich and Dasha Zhukova:** The best known figure of the Russian oligarchy, Roman Abramovich became a public figure in the West due to his acquisition of Chelsea football club. Together with his girlfriend Dasha Zhukova, Abramovich has emerged as a major buyer in the international art market. He buys Russian art, including the works of the conceptual artist Ilya Kabakov, but also follows the trend for paintings by Francis Bacon, Lucien Freud and other blue chip names. Zhukova's involvement in the contemporary market (she is head of the Garage Centre for Contemporary Culture and a board member at LACMA) has evidently encouraged Abramovich's collecting habits
- **Francois Pinault:** A French billionaire and as the owner of Christie's auction house, Pinault controls the world's largest art business, and as such has an intimate inside knowledge of the art market. He has built up one of the world's largest and most valuable new collections of art, and has bought a number of works by artist Damien Hirst. Pinault's great rival in business, Bernard Arnault, France's richest man and chairman and chief executive officer of LVMH luxury goods company, is also a prolific collector of modern art
- **Microsoft:** The company proclaims their collection has 5,000 works of art and is displayed in more than 180 buildings. The collection emphasises contemporary art from around the world, displayed for the benefit and enjoyment of Microsoft employees, their guests, and Microsoft customers. Microsoft spends a sliver of their \$86 bn yearly turnover on their collection. The company employs a full time curator and collects mainly mid-level and emerging contemporary artists, but what is revealing is that they collect at all. Other corporations with a collecting habit include Deutsche Bank AG, who now own 50,000 works, including a Picasso and a Richter

A Few Prominent International Buyers

- **Al Nahyan Family:** In 2007 the Louvre announced a major multi-bn dollar agreement between the French government and Abu Dhabi for the formation of a museum in the small gulf state, to be called Louvre Abu Dhabi. The driving force behind this controversial agreement was the Al Nahyan family who has ruled Abu Dhabi since 1793. The family fortune is estimated at \$23 bn, largely based on the fortunate geological landscape of the city. The museum is still under construction and the family has collected with discretion, but they are looking to purchase masterpieces from antiquity to today, without discrimination
- **Kamel Mennour:** Mennour started out selling art door-to-door to pay for his economics degree. The Algerian-born Frenchman opened his first gallery in Paris 16 years ago and, since then has gradually built a rock-solid program with serious blue-chip potential. Now installed at three locations in the French capital, Galerie Kamel Mennour is responsible for launching the career of French artist Camille Henrot, and also represents established artists such as Martin Parr, Huang Yong Ping, and Anish Kapoor
- **Thaddaeus Ropac:** Austrian dealer Thaddaeus Ropac has been dealing in art for thirty years. In that time he has grown his Salzburg gallery into a multinational business with two spaces in Paris and a newly announced London location slated to open in 2017. Aside from representing and exhibiting greats such as Georg Baselitz and Joseph Beuys, as well as, young hot-shots such as Cory Arcangel Ropac is known for his astute eye. He serves as a curatorial aide to museums, and an independent art adviser, and he runs his own publishing house to boot
- **Sadie Coles:** She was at the forefront of the YBA movement that propelled the British art scene onto the international stage during the 1990's. Coles opened her gallery in London's West End in 1997 and has since expanded but has always remained in the traditional art hubs of Mayfair and Soho, where she exhibits artists such as Sarah Lucas, Matthew Barney, Elizabeth Peyton, and Richard Prince

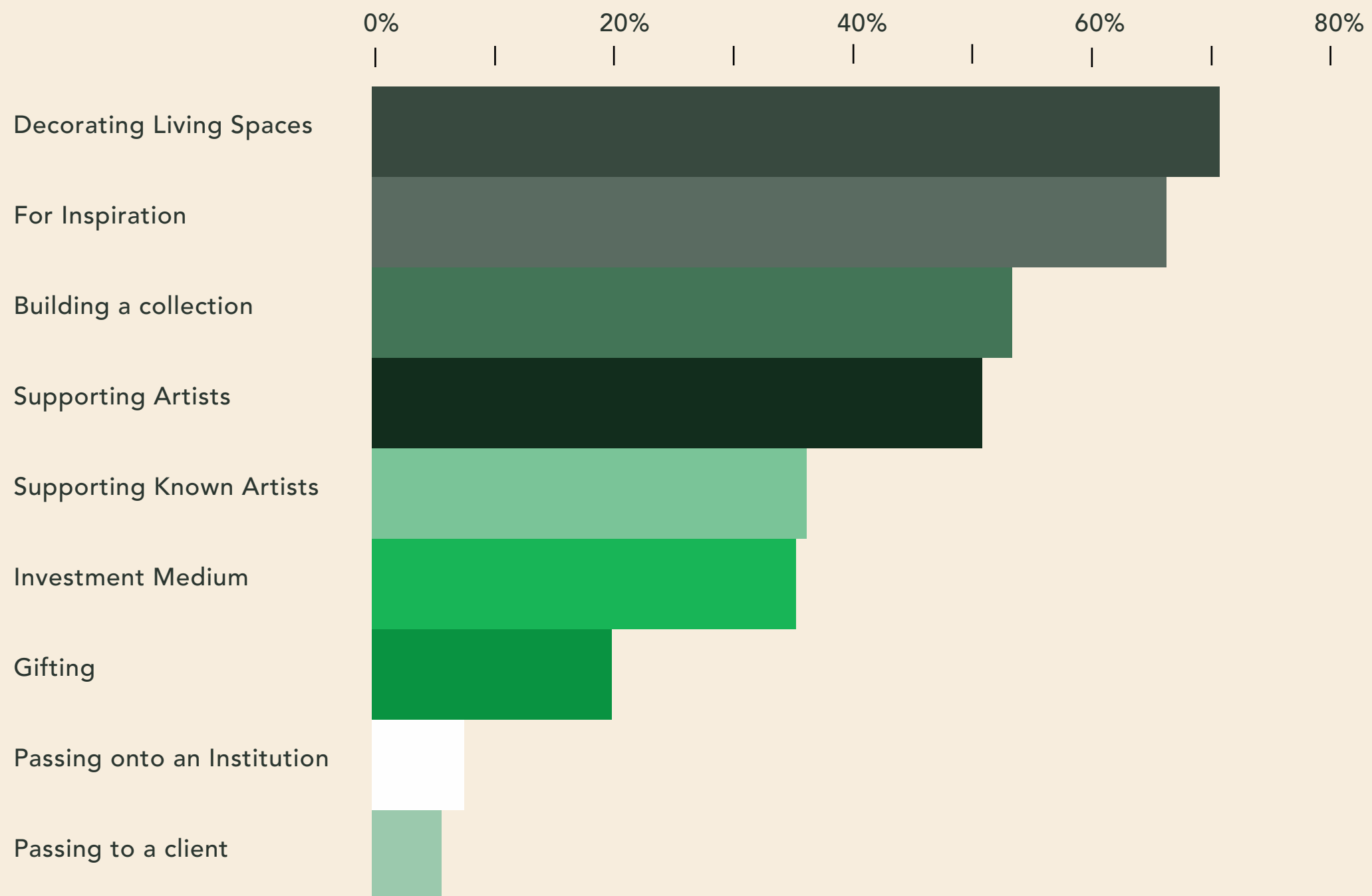
A Few Prominent International Buyers

Massimo de Carlo: The pharmacist turned gallerist with spaces in Milan, London, and Hong Kong is closely linked to the rise of art star Maurizio Cattelan. His gallery represents a carefully selected group of established and up-and-coming artists including Rashid Johnson, Dan Colen, and Paul Chan. It's De Carlo's preparedness to integrate both established market darlings and more unconventional artists into his program that really sets him apart in the art world

Eivind Furnesvik: The founder and director of Standard (Oslo) has put Norway's small but burgeoning art scene on the map. Having raised local stalwarts such as Matias Faldbakken, Frederik Vørslev to an international level, the gallerist also brought Tauba Auerbach, Alex Hubbard, and Josh Smith to Scandinavia. Oslo's small local market means that around 75 percent of works sold at Standard (Oslo) go abroad. Furnesvik's innovative approach to this has earned him the respect of colleagues and collectors and has brought first-class art to the challenging market of the far northern hemisphere, while staying true to his roots

Elba Benitez: Driven by a desire to participate in the arts, the Madrid based dealer opened her first gallery in 1990 with no prior experience, training or prior connection to the art world. After surviving the economic downturn of the early 1990s, the gallerist spent the following 26 years establishing an exciting program based around Spanish and Latin American artists, complimented by selected artists from other part of the world. Galería Elba Benítez now represents the likes of Vik Muniz, Ernesto Neto, Cristina Iglesias, Miriam Bäckström, and others

Purposes Driving Art Collectors



Factors Motivating Art Collectors

Aesthetics and a desire to live with art: Online art buyers overwhelmingly purchase art in order to live with it. Seventy-one percent of collectors surveyed said they buy art to decorate their home. Even for investment-minded collectors, this was the most frequently cited driver to buy art. The motivation here appears to be deeply personal in its origins: 67% of collectors—the second-largest group—reported buying art to provide a source of inspiration in their daily lives. Similarly, when asked about the biggest factors to consider when making a purchase, collectors reported aesthetics as the most important, cited by 78% of respondents—three times the number that cited an artwork’s potential to increase in value as a key motivating factor

A passion for artists and their stories: Collectors indicated that a work’s aesthetic appeal is frequently the gateway to a deeper exploration of the artist and their career. Among active art buyers identified in the survey, only approximately 17% reported buying art without significant consideration for the works’ content or the artist’s background or career trajectory. Collectors seem to be relatively more motivated by the subject matter and story behind the individual work than they are by the artist’s story and background. This can be attributed to artists frequently working in multiple series with varied subject matter

Affordability: Consistent with online art collectors’ relatively modest budgets affordability was the second most frequently cited factor that influences buying. This finding remains consistent across all age ranges besides 45–55 (when budgets are also highest), and all but the two highest and three lowest segments of net worth (above \$5 mn and below \$10,000). One explanation is the propensity to collect at an increasing volume, and, in some cases, to buy more expensive works as net worth increases. Collectors’ passion for art appears to be a driving factor here

Factors Motivating Art Collectors

Gender Differences: Women were 24% more likely to report being motivated by wanting to support artists, and 35% more likely to be motivated by artist friends. While decorating and inspiration were key factors, women are marginally but still significantly more likely to cite these as motivating factors. The two genders also cited significant differences in their behaviour and how they see their role within the art world. Men were 29% more likely to say they are buying to build a collection, and over 53% more likely to say they viewed themselves as collectors. However, women were 10% more likely to say that they belonged to a social circle of collectors who regularly talk about art

Art as an investment: Online collectors are 37% more likely to view art as an investment than collectors who have not purchased art online in the past. Investment was ranked sixth among the most important factors for buying art among online art buyers. 35% of the people agreed to buying art as an investment and only 26% said that they evaluate individual works based on their likelihood to gain value. This delta and focus on aesthetics among the sample supports the view that collectors are more likely to view art as a store of value and as a diversification tool within their wider portfolio than they are to speculate on individual artworks

Wealth and Investment: A collector's net worth is also strongly correlated with their propensity to view art through an investment lens. Online collectors with a net worth above \$10 mn were the most likely to cite this as a motivating factor, at 52% of all respondents, while collectors with a net worth between \$5 mn and \$10 mn came in second, at 49%. By comparison, on average, 27% of collectors with a net worth less than \$100,000 reported investment as a major driving factor behind their collecting. Increasing art budget and wealth were found to be correlated with a decrease in affinity towards emerging art, providing further evidence to the argument that investment-focused collectors aren't motivated by speculation, but by works that can hold value with low volatility



Familiarising the Industry

- Dominant in the rural areas of the country Handlooms and Handicraft sectors are labor-intensive
- The handloom and the handicraft sector is expected to grow to INR17.79 mn by 2022
- The demand for Handlooms and Handicraft in India comes from three major segments – household sector, non-household sector (institutional, industrial and technical) and export sector, and all the three segments are growing
- The production of handloom products in India has experienced a growth rate of 4% in the year 2010-11 while there is a declining trend in the growth with 0.08% in 2011-12
- The year 2012-13 has witnessed a growth rate of 1% while in 2013-14 the growth rate is 2%. The year 2014-15 has % growth rate in the production of handlooms in India

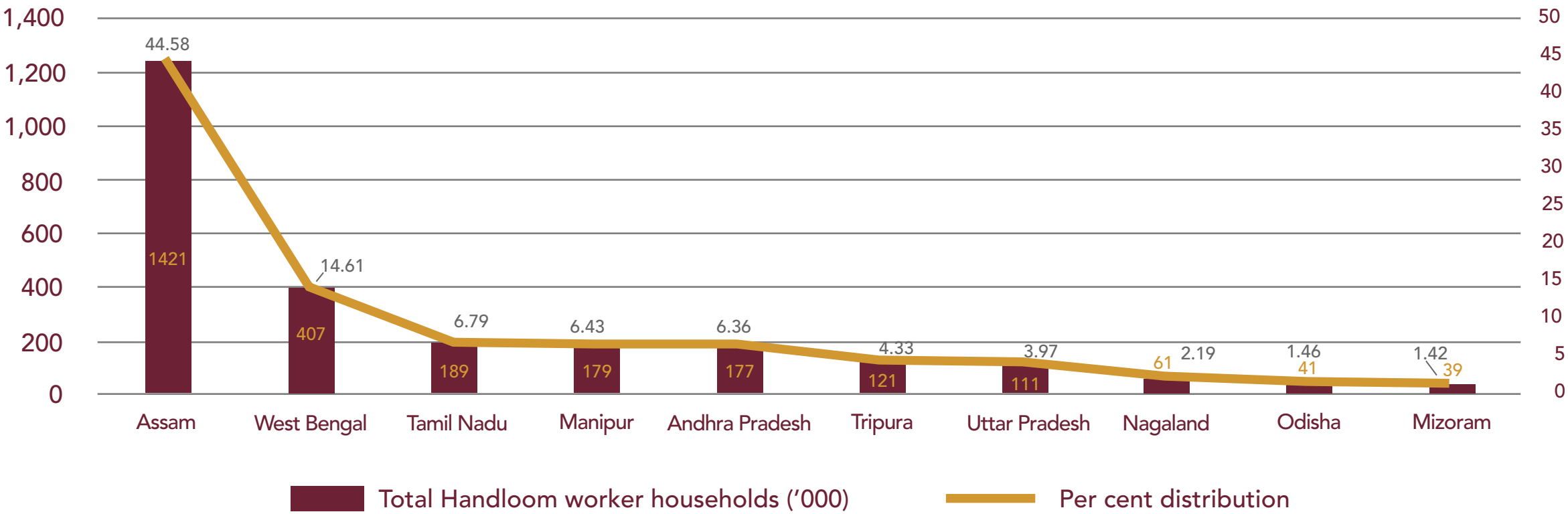
Human Resource Growth Trends in the Sector (in million)					
	Employment (in million)			Employment growth 2013-17	Employment growth 2017-22
	2013	2017	2022	(in million)	(in million)
Handlooms	4.33	4.33	4.33	--	--
Handicraft	7.32	9.60	13.46	2.28	3.86
Overall Sector	11.65	13.93	17.79	2.28	3.86

Dwelling Upon the Handloom Industry

Year	Cloth Production-Handloom Sector (Billion Sq. Metres)
2010-11	6.91
2011-12	6.90
2012-13	6.95
2013-14	7.10
2014-15	7.20
2015-16	7.64
2016-17	8.01

Sl.no.	State	No. of block level clusters sanctioned	Funds released as on 31.12.2017 (in Lakhs)	No. of beneficiaries covered
1	Andhra Pradesh	3	141.7	665
2	Bihar	2	100.91	701
3	Chhattisgarh	2	52.40	529
4	Himachal Pradesh	1	31.20	200
5	Kerala	1	35.20	450
6	Madhya Pradesh	1	156.44	9603
7	Jammu and Kashmir	1	39.10	205
8	Karnataka	1	28.13	386
9	Tamil Nadu	4	128.86	1473
10	Uttar Pradesh	4	133.49	952
11	Arunachal Pradesh	2	69.50	1154
12	Assam	21	1370.95	19022
Total		43	2287.45	35300

Top 10 states with distribution of handloom worker hosehold



How India's Exports Faired

- Export of handloom products was Rs.1253 crore (US\$ 264 mn) during FY 2009-10 and witnessed a steady increase during the FYs 2010-11, 2011-12 and 2012-13 registering Rs.1575 crore (US\$ 346 mn), Rs.2624 crore (US\$ 548 mn) and Rs.2812 crore (US\$ 517 mn) respectively
- Subsequently export witnessed a decline during FY 2013-14 registering Rs.2233 crore (US\$ 369 mn)
- However, export has marginally increased during FY 2014-15 and 2015-16 reaching Rs.2246 crore (US\$ 367 mn) and Rs.2353 crore (US\$ 360 mn)



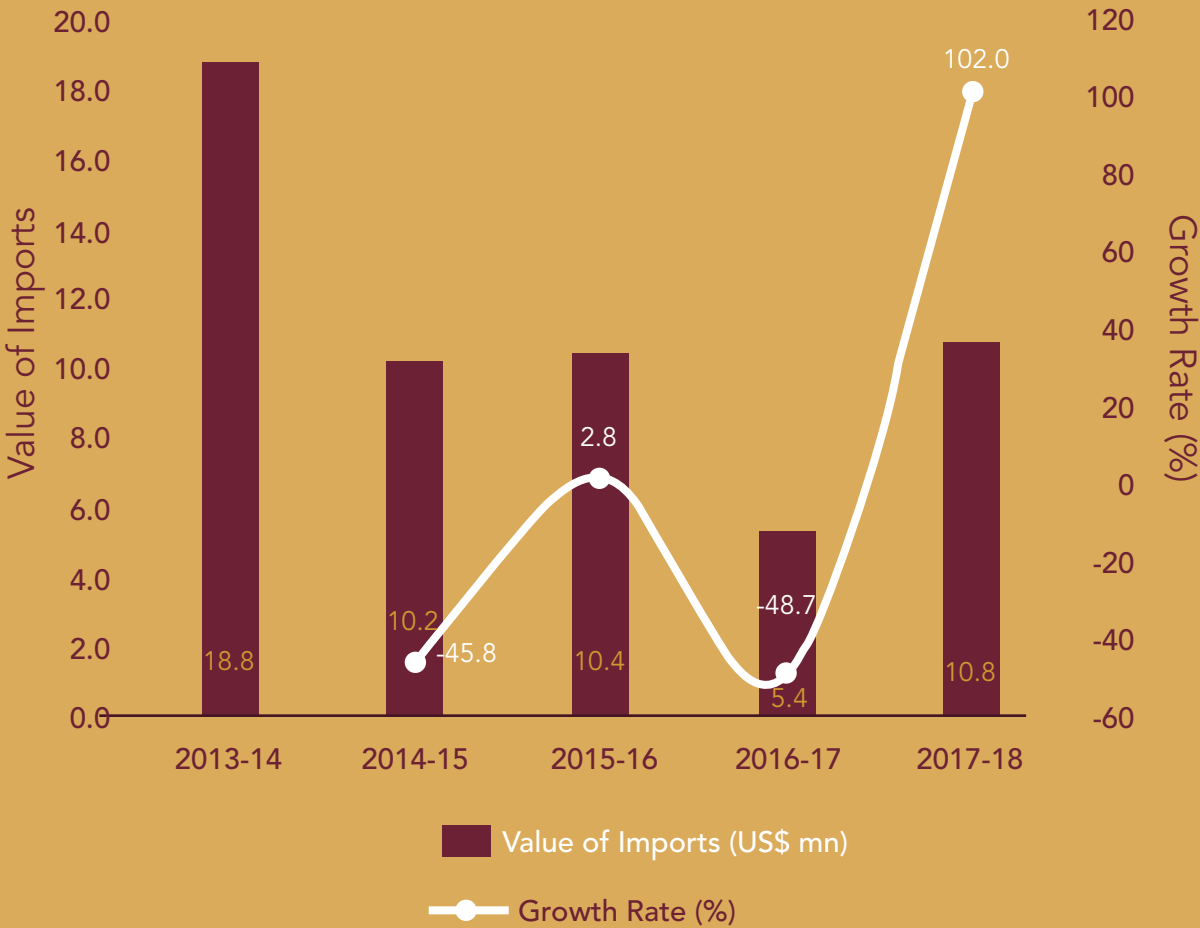
S.#	Country	2017-18		2017-18		2017-18	
		USD	INR	USD	INR	USD	INR
1	USA	93.10	599.96	94.19	656.39	1.17	9.41
2	UK	26.14	163.46	17.81	124.14	-31.87	-26.31
3	Spain	21.21	136.65	25.18	175.66	18.72	28.55
4	Italy	18.04	116.21	16.51	114.62	-8.48	-1.37
5	Germany	17.81	114.84	14.66	101.49	-17.69	-11.62
6	Uarab Emts	16.68	107.43	16.30	113.18	-2.28	5.35
7	France	16.33	105.23	13.89	96.9	-14.94	-7.92
8	Netherland	13.71	88.36	12.14	84.8	-11.45	-4.48
9	Australia	11.61	47.82	13.49	93.95	16.19	25.57
10	Japan	11.60	47.47	8.96	62.34	-22.76	-16.59

How India's Imports Faired

- The imports of handloom products doubled to US\$ 10.8 mn during the year 2017-18 as compared to US\$ 5.4 mn in 2016-17
- However, over a larger me frame, imports recorded a negative CAGR of (-) 12.9%, as the value of imports declined from US\$ 18.8 mn in 2013-14 to US\$ 10.8 mn in 2017-18
- Bangladesh has, by far, been the leading import source of handloom products by India. The share of Bangladesh in India's handloom imports rose from 68.0% in 2013-14 to 88.3% in the year 2017-18
- China continued to remain the second largest import source, although its share declined drastically from 31.0% to 7.4% during the period 2013-14 to 2017-18
- Other import sources for handloom products in the year 2017-18 were Japan, Germany, the UK, Greece, Belgium, the US, Singapore and Italy

Major Sources for India's Importers of Handloom Products

2013-14			2013-14		
Country	Value	Share	Country	Value	Share
	US \$ Thousand	(%)		US \$ Thousand	(%)
Bangladesh	12784.4	68.0	Bangladesh	9547.5	88.3
China	5831.4	31.0	China	798.6	7.4
The USA	41.2	0.2	The USA	59.7	0.6
Italy	21.8	0.1	Italy	24.2	0.2
Japan	19.1	0.1	Japan	17.9	0.2
Singapore	17.8	0.1	Singapore	17.2	0.2
Turkey	16.6	0.1	Turkey	15.8	0.1
Iran	15.3	0.1	Iran	13.9	0.1
Thailand	12.0	0.1	Thailand	13.1	0.1
Malaysia	11.0	0.1	Malaysia	6.3	0.1
World	18804.6	100.0	World	10812.8	100.0



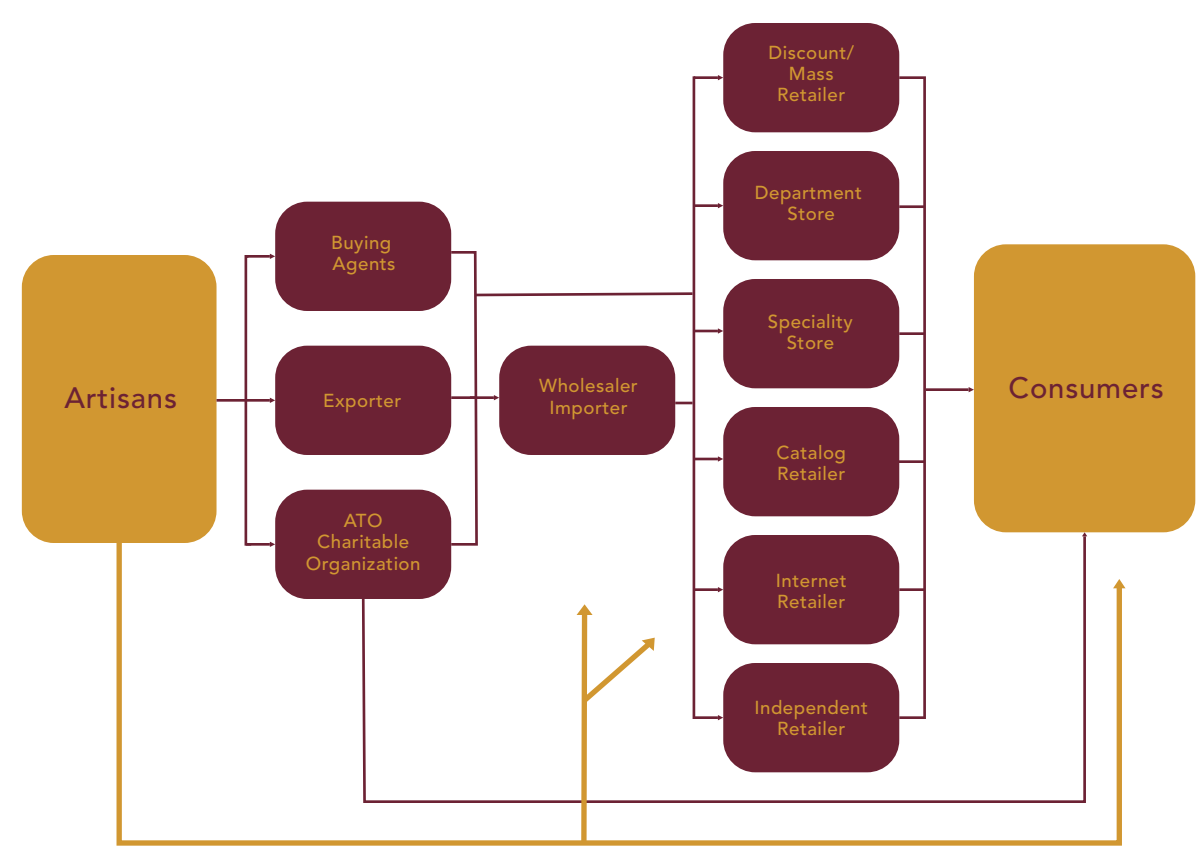
Hurdles Faced by the Handloom Industry

- **Rising Input Costs:** Raw material for cotton costs are high due to high local prices and transport costs, especially for Southern states that bring cotton from the West
- **Sparse Credit Coverage:** Lack of financial literacy among weavers and operating outside the purview of institutional financing increase credit-related challenges for them
- **Dependency:** The dependence of units on the master weaver or trader is high, for provision of orders with raw-material, design and an advance on labour given by them
- **Poor Policy Dissemination:** Lack of information available to weavers regarding various government policies and schemes acts as a critical factor for diminishing revenues. Most schemes, which can target specific problems of small players, are replaced by those that require 'big' implementers with access and influence
- **Marketing Bottlenecks:** Lack of innovation and difficulty to adopt new patterns, specifically in the area of marketing along with lack of adequate investment and participation by private players
- **Infrastructure Gaps:** Infrastructure are inadequate, specifically in the north-eastern region. Outdated machinery, unavailability of raw materials and electricity pose big challenges too
- **Database Crunch:** The sector has seen only three census so far (1987–88, 1995–96 and 2009–10). Absence of data hinders inter-sectoral comparison with related departments
- **Training:** Lack for training of weavers as well as of teaching modules on how to adopt technology for the betterment of their product
- **State & Central Government Coordination:** Handlooms is a state subject so the primary responsibility lies is with the states, but Government of India has been supplementing the efforts of the states with its policy of promoting and encouraging the sector through a number of policies, programs and financial assistance. Due to lack of coordination and proper vigilance, the schemes are ineffective at grass root level

Diving into the Handicraft Industry

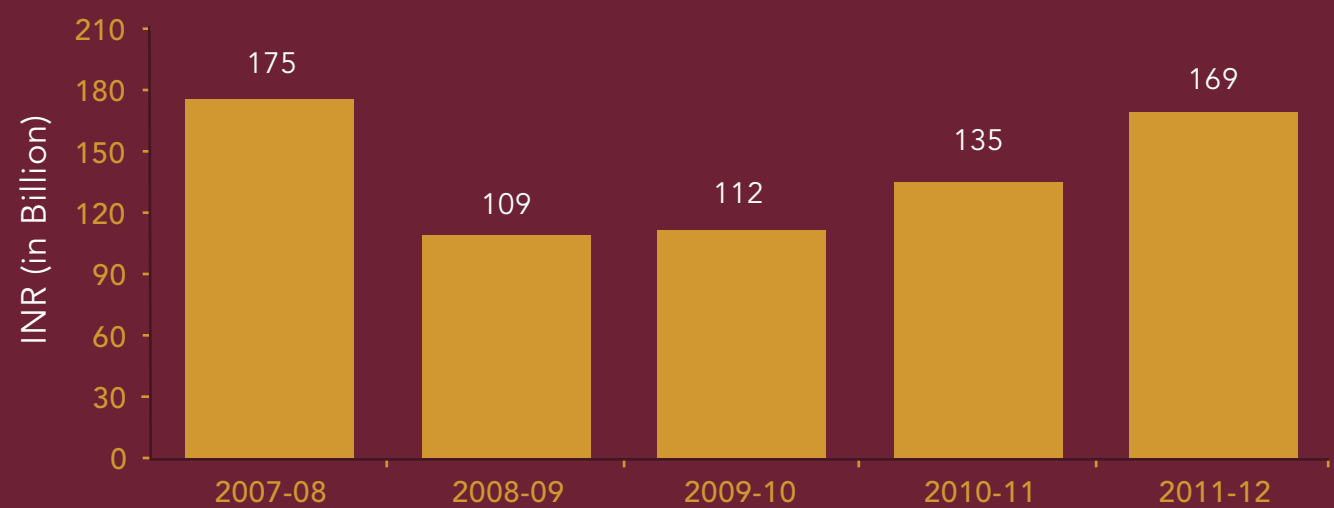
- Handicrafts includes Woods, Stone, Metal, Natural fibre, Papier Mache, Glass, Cane & Bamboo, Clay/Ceramics and Textile-based soft goods
- Based on historical trends, the Handicrafts sector is expected to grow by 16 percent during 2013–17 and by another 16 percent during 2017–22
- In some areas, group of craftsman/artisans come together to attain economies of scale and optimum production levels
- Another mode of producing Handicrafts is through a factory set up where a master craftsman conducts the activities of procurement, deploys a design team and enables distribution and marketing

Sector Specific Indicators (2011-12)	
Production	INR 302.57 billion
Growth rate of production (Base 2008-09)	16 percent CAGR
Exports	INR 168.51 billion
Growth rate of export (Base 2008-09)	15 percent CAGR
Employment (estimated)	7.2 million



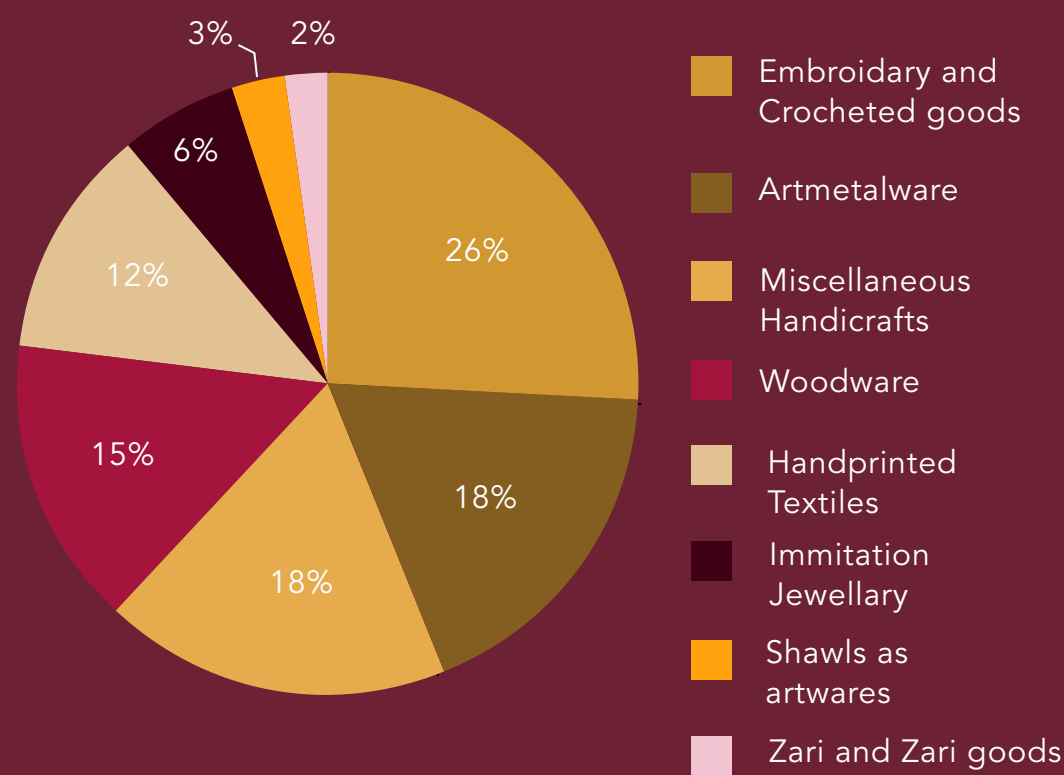
How Exports Faired

Exports of Handicrafts from India

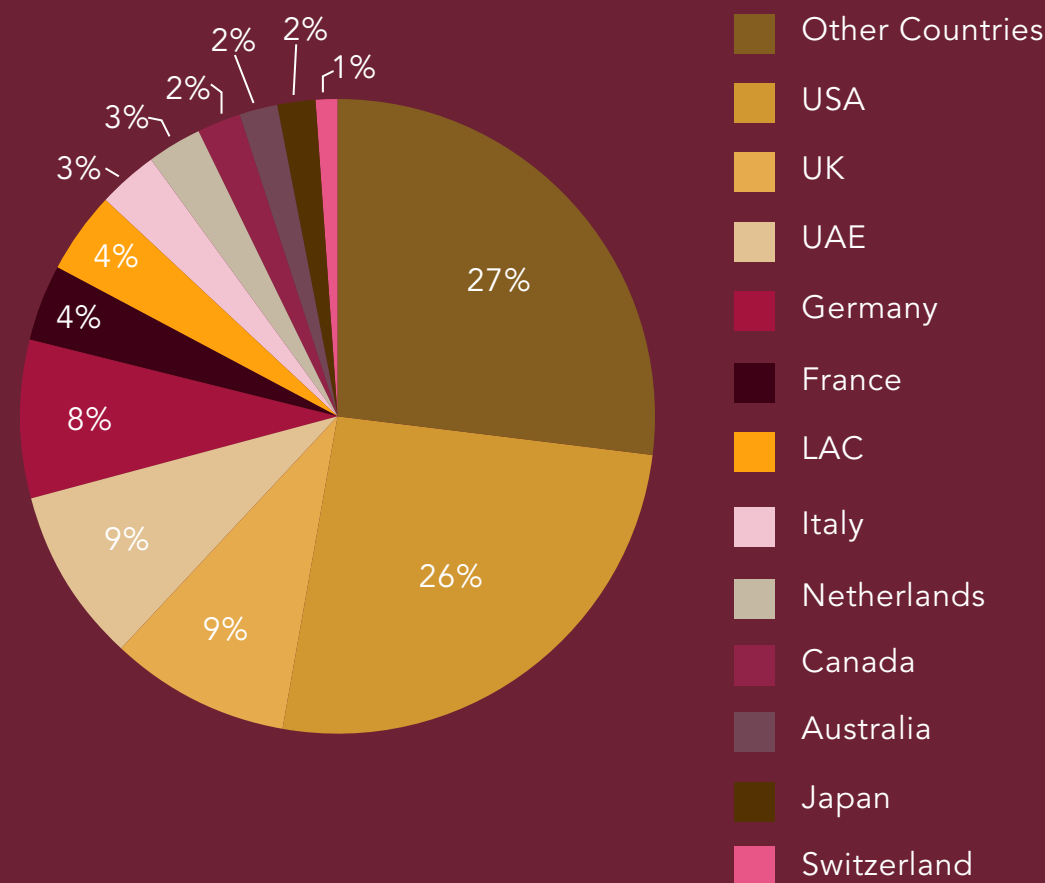


- Handicraft sub-sector requires low capital investment, delivers high ratio of value addition and has significant export potential
- Some major Handicrafts' hubs in India serving global markets include Moradabad, Jaipur, Saharanpur and Jodhpur

Share of Handicraft goods exported to other countries from India during 2012-13



Country wise export share of Handicraft during 2012-13



Opportunities for the Handicraft Industry

- **Distinctiveness:** Every Indian state comes with their own style of handicraft that displays distinctiveness which basically gives a wide array of art forms for people to choose from
Developing Fashion Industry: Developing fashion industry requires handicrafts products which adds to the growing demand for this huge industry
- **International Presence:** Strong international presence and interest of the global sector in the Indian Handicraft industry is a major opportunity for the sector to take strides towards progress
Manpower: Huge trained and skilled man power base is available which is a massive strength and boon for the sector
- **Government Programs:** Social interventions and structures such as Integrated Handloom Development Scheme, National Handloom Development Program, National Handicraft Development Program, Ambedkar Hasteshilp Vikas Yojna have been adopted to boost the Handicraft and Handloom industry
- **Knowledge Base:** Traditional knowledge base is the moat of the industry in India. India as a country has always been traditionally rich and this can be leveraged in order to grow the industry by leaps and bounds
- **Sectorial Development:** Development of sectors like Retail, Real Estate that offers great requirements of handicrafts products and can be used to the advantage as it presents with itself a wave of opportunities
- **Influx of Tourists:** Rising flow of tourists in India coupled with the developing tourism sector is another opportunity for the sector. Tourists have always been fascinated with the traditional side of India and in this fascination lies an opportunity waiting to be grabbed
- **Positive Macro-Economic Factors:** Growing disposable income along with the desire to own multi-faceted artifacts is another opportunity for the industry
- **Growing Demand:** Rising demand for handicraft products in developed countries such as USA, Canada, Britain, France, Germany, Italy gives a massive boost to the exports sector of the economy alongside the root industry
- **E-Commerce:** e-Commerce and Internet have emerged as promissory distribution channels to market and sell the craft products breathing fresh air into the system and also bringing along a new dimension to cater to consumer demand and need
- **Sustainable Development:** Unlike machine-made products that involve the utilization of electricity and other fuels, handicrafts have low energy requirements, which is anticipated to contribute to the market growth in the coming years

Hurdles Faced by the Handicraft Industry

- **Handicraft Census:** Lack of adequate and authentic data on crafts persons, including their socio-economic status, livelihood conditions and details of families, is a major bottleneck that affects planning and policy-making for the sub-sector
- **Credit:** Most artisans are from economically disadvantaged sections with limited access to capital, which leads them to local moneylenders
- **Raw Material:** Raw materials are sourced locally and ensuring high quality of raw materials remains an issue, which results in poor returns
- **Infrastructure:** The availability of infrastructure required by the Handicrafts sub-sector has been less than satisfactory, leading to a loss of competitiveness
- **Technological Gaps:** The situation has further risen due to the lack of advanced technologies, as old methods of production lead to inefficiency
- **Regional Imbalances:** Regional imbalances exist throughout the country with visible gaps in production and sales. The disparity is evident from the fact that the north-eastern states majorly contribute to export while other regions contribute only marginally to export
- **Programmatic Inefficiencies:** Eligibility criteria, financial aspects and fund release patterns are few of the inefficiencies. There is need for evaluating and reviewing such inefficiencies
- **Limited Role of Private Enterprise:** The limited availability of private enterprises in this sector makes it an uphill battle as these enterprises bring in the business acumen and the channels to scale. With that piece of the block missing, it becomes challenging to establish a structured business

India vs. The World

- China holds a dominant position as an exporter in the global market
- China's enormous production capacity and low labor costs, producers from other countries can rarely compete on price and volume
- State-of-the-art equipment and rising productivity allow Chinese producers to deliver large product quantities quickly, on time, and at low prices
- India has long been a strong handicraft producer and is becoming an increasingly important exporter for decorative products. Handicraft exports to the United States amounted to \$1.9 bn in 2003, having shown a consistent 15 percent annual growth rate over the previous decade
- In 2002, India held a 10 percent share of global handicraft exports,⁷⁷ and in the past three years this sector has grown 4.7 percent annually
- The Indian government has begun focusing on increasing handicraft exports by investing in design capacity and showcasing Brand India
- When compared to Vietnam, India has difficulties with shipping and delivering product on time (delivery may take as long as six to seven months)
- This is in part due to poor road infrastructure, which supports only 20-foot containers (half the size of the more common and cost-efficient 40-foot container). However, India has broad producer skills and, like Vietnam, low minimum order quantities and its own, distinctive look

An Existing Market and its Promotion

Market handloom products along the pattern of 'Incredible India' campaign.

Retail stores should be promoted in major cities and State capitals under a single brand name and under PPP mode

Celebrity endorsement should be encouraged and celebration of 'India Weaves Week' at all the Indian Embassies/ High Commissions abroad through the Handloom Export promotion Council

The coverage of the Handloom Mark should be enlarged considerably so that within a definite time frame, all handloom products are sold with the Handloom Mark

A web-portal created to provide e-marketing platform with B2B and B2C facility

Upgrading the entrepreneurial skills of the artisans and development of showrooms

Organizing exhibitions in the foreign countries

The Way Forward

- **Expanding Supply by Private Mills :** To extend the availability of raw materials, private mills can be prompted to establish depots in the large handloom clusters, such that uncomplicated supply of yarn can be facilitated. Collaboration of these private mills with the primary weaver cooperative societies can be introduced. State Governments can initiate creation of direct sales outlets by the private mills in the substantially large clusters
- **Increase Number of Players in Mill Gate Price Scheme:** The Mill Gate Price Scheme needs to be refurbished. The involvement of approved export agencies in this context can also be fruitful to achieve the desired results of the scheme
- **Strengthening NHDC:** It is pivotal to revamp the operations of the NHDC to enable the weavers to procure yarn conveniently. An increase in the number of supply depots, will ensure the speedy delivery of yarn to the weavers. In the state of Bihar, various measures are being undertaken to provide an impetus to the handloom sector. It has been proposed that an agreement would be signed between the Handloom and Silk Directorate of the State and the National Handloom Development Corporation (NHDC)
- **Digitization:** The weavers must be encouraged to utilize the E-Dhaga app facility launched by the Ministry of Textiles, Government of India in the year 2016. This online app permits the weavers to place their indents online, make digital payments and access the status of their shipments. The weaver service centers should ensure the weavers comprehend the utility of the app and are taught how to use it
- **Amalgamation of Weavers:** Handloom is a fragmented sector with various different weaver societies. Open markets are a major source of raw materials for the handloom weavers. The primary weaver societies may be suggested to merge as consolidation will bolster their bargaining position in the open market. These merged societies can then purchase yarns, chemicals and dyes from the open market at discounted rates and then distribute it among the weavers as per their requirements
- **Augment Silk Production:** India is the second largest producer of silk in the world. The Muga variety of silk has various exclusive properties and since no other country in the world produces this particular quality of silk, it has considerable significance in the handloom industry. The production of silk in India needs to be increased. As per the Handloom Policy of Assam, the quantity of Muga silk production in the State can be increased by at least three fold. Moreover, the utilization of silk in the production of handloom products also needs to be simulated by the Government

The Way Forward

- **Focus on Quality of Raw Materials:** To boost the domestic sales and exports of handloom products, it is of supreme importance to lay emphasis on the quality of the produce and the associated raw materials. Standardized norms should be formulated for the raw materials of handloom products to ensure the superiority of quality. Higher level of quality will assure higher prices for the produce and would act as a motivation for the weavers. Export markets are highly particular regarding the assessment of the quality of output. Extension services can be provided by consultants, impart knowledge related to the fulfilment of quality standards and upgraded dyeing techniques can be imparted to the weavers
- **Greater Coordination between Government Departments:** An intensified coordination and collaboration between the various government bodies will create conducive environment for an all-inclusive growth. The officers of the different departments need to carry out functions jointly at the village, block, district, state and national levels
- **Revamping Government Corporations:** It has been perceived that a majority of the government corporations associated with the handloom sector have been registering losses, due to inefficiencies. Revamping of these institutions are mandatory. Senior officials well-verse on the subject of textile value chain can be entrusted the job of this improvement in various States. The appointed officials must have thorough knowledge of the schemes, and well versed with the challenges faced by the weavers in their respective territories
- **Encourage Renewed Designing:** Design centers should be established exclusively for the designing of handloom wherein a large pool of designers can produce ideas related to patterns, layout and colour combinations. The students in fashion designing institutes in the country should be encouraged to offer their services, as they will be well versed with the latest popular trends and customer needs in the global market
Boost Local Haat and Bazaar: If the accessibility of markets in the local village areas are increased, it will amplify the volume of handloom products sold. This will assure smooth sales of handloom produce, and escalate demand among the local people
- **Enhancing the Participation in Overseas Trade Fairs:** Display of products in markets situated abroad is critical in supporting the export of these products. It is an effective channel to introduce new range of designs and expanding the consumer base and give an opportunity to the organizers to have an overview of the consumer responses at a global level and the consumers are familiarized with the new products and their diverse features, and the distinct characteristics of handloom product

The Way Forward

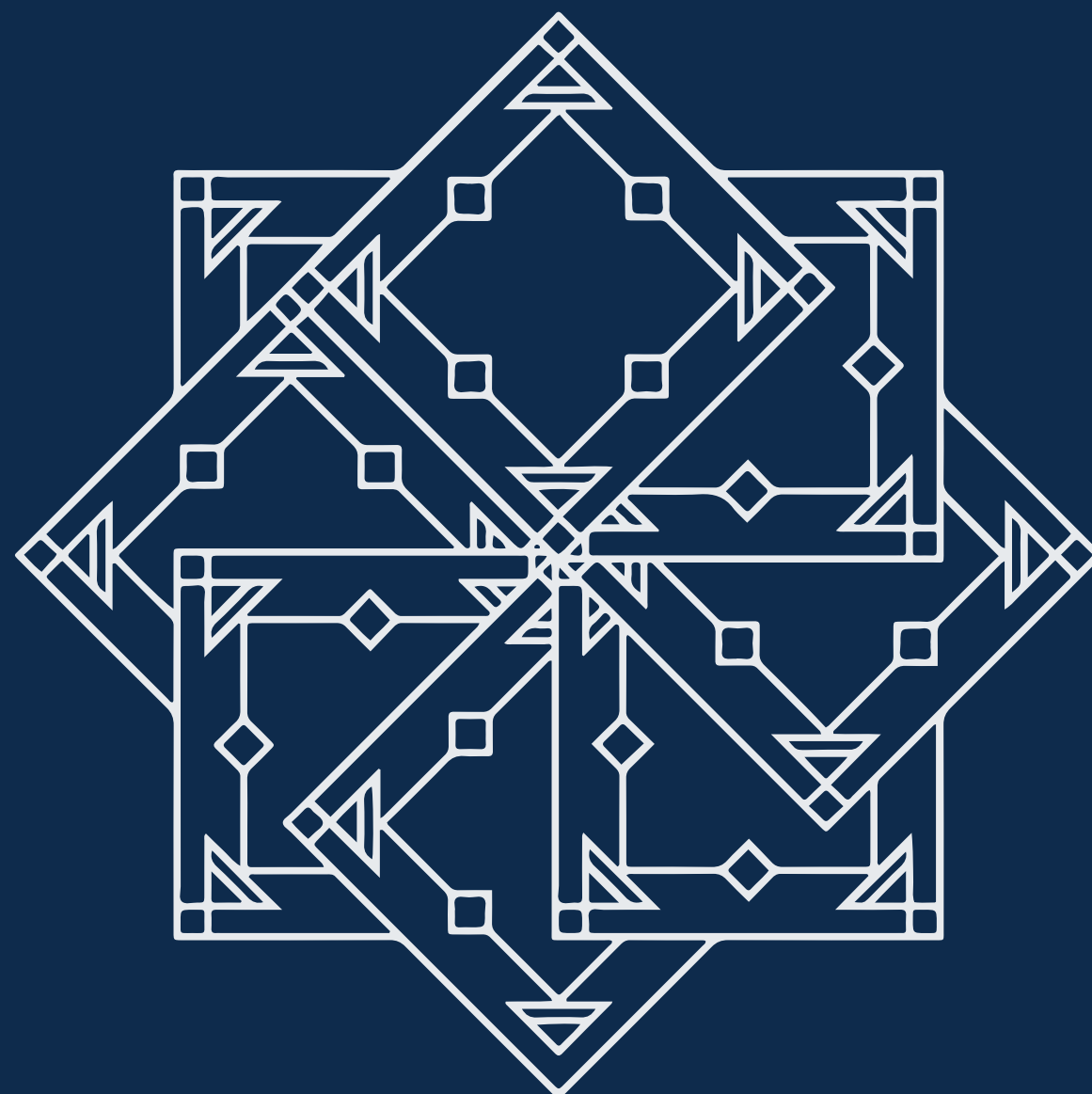
- **Creating a Niche Premium Market:** Consumers in the present generation are not hesitant in paying an extra bit in return for receiving exquisite quality of the produce. Traceability of the products is of supreme importance in enhancing the demand for the product
- **Expansion of e-Commerce Channel:** The prevalence of e-commerce has been rapidly increasing in India, as larger section of consumers now prefer making purchases online. The handloom industry can also benefit from exploring this method of sales. When the handloom product is displayed on an online channel, the option of selling directly to the consumer opens up. To enable this technological marketing development to progress, the perspective of the weavers need to be transformed and they should be introduced to the functioning and advantages of e-commerce. Interaction with the handloom weavers and conducting awareness programs in clusters is important. Moreover, there should be availability of internet connection in the rural areas and staff to assist them with the working of computers
- **Extension of Credit:** For the welfare of the handloom weavers, it is essential to meet their credit requirements. Furthermore, in order to circumvent delays in granting of financial assistance to the weavers under the appropriate schemes, the implementation of one window clearance will be advantageous. To propel growth in the handloom sector, the weaver societies must deal in large scale investments such as challenges. Opening showrooms, hiring designers, acquiring data and direction on market trends and upgradation of the dyeing process necessitate supply of abundant credit; thus, term loans can be offered to weaver societies for these extensively large expenditures. The most fundamental measure in this relation would be to build up the financial literacy possessed by the handloom weavers
- **Product Diversification:** The production of value added products based on the variations in consumer demand will be a favorable measure for the handloom sector. The production of value added products based on the variations in consumer demand will be a favorable measure for the handloom sector. The Government should conduct market surveys at regular intervals in order to get a pulse of the consumer demand. The production of high value handloom garments should be emphasized, by encouraging collaboration between fashion designers and the artisans, me and again. Moreover, the creation of new varieties of household furnishing should be attempted. The artisans should be assisted by fashion designers, to engage in the production of creative handloom products, by way of experimenting with the usage of new colors and designs

The Advent of Technology

- The concept of technology in handlooms and handicrafts is intricately related to both, the manufacture and decoration. This may therefore be researched in a chronological framework starting from archaeological past to the contemporary times. Regional developments have been very typical to certain styles of manufacture and decorations
- Technology is often used for the following processes,
 - Testing & quality monitoring
 - Design and Development
 - Strength Testing and Trash Analysis
- CAD is industry specific design system using computer as a tool. CAD is used to design anything from an aircraft to knitwear. Originally CAD was used in designing high precision machinery found its way in other industries also. In 1970's it made an entry in the textile and apparel industry. Most companies abroad have now integrated some form of CAD into their design and production process
- Modernization through automation may not be after all such an uphill task if the Indian industry has to do so. Therefore, there is a dire necessity for these sectors to push up our sleeves and get into action before our whole industry starts dwindling
- The level of technology related to the automation of machinery has changed a lot and indigenous efforts are near about the technology of machines manufactured in industrially advanced countries. Substantial and sustained efforts to strengthen indigenous efforts and technological backup were made a today the major manufacturers supply modern machines
- Indian machinery manufactures are able to produce at competitive prices sophisticated machines (of higher speed and productions) provided technological support and economic and continuous demand is forthcoming
- Microprocessors and computers gained pride of place in modern machines. Most of the latest technologies in automation are concentrating largely on making the new version more flexible, energy efficient and perfect
- One can only hope and wish that the future changes will be for the better because the cry for existence during the ongoing battle is "Modernize or Perish"

The Advent of Technology

- The rapid changes in digital technology and skyrocketing pace of mobile phone penetration are transforming almost every single industry in India today. Digital media like mobile web, mobile apps and social media are changing consumer awareness and buying behavior rapidly
- In order to upsell and market authentic handloom products, creative packaging and showcasing becomes absolutely essential. Online digital platforms with the advantage of beautiful digital visuals and worldwide reach can upsell and highlight the natural beauty and intricacy of handloom products very well
- Digital platforms have the potential to innovate and scale up volumes of Indian handloom and handicraft products both in the domestic and international markets. This has huge potential for the Indian economy as it holds the key to providing large scale employment to over 4 mn weavers spread all over the country in rural & semi-rural areas
- There are few E-Commerce platforms that are touching lives of more than 1000 weavers every month in a mission to democratize access to fine Indian handlooms sourced from a plethora of weaving clusters across the country
- In the new Digital economy, top class digital platforms could be the 'x-factor' that will catalyze the widespread usage and growth of traditional handlooms and handicraft
- Information technology has played an important role in marketing of any product. Information technology is the technology that supports activities involving the creation, storage, manipulation and communication of information together with their related methods, management and application. The rate at which information technology is being developed will absolutely change the process of marketing research in handicraft product
- Digitization also plays a key role in the sales and promotion of handlooms and handicrafts



The Vitrine™

Understanding the Indian Modern Contemporary Market

Indian contemporary art is the art that has been and continues to be created during our lifetimes. This is a form of art that originated near around the 1960's or 1970s and continues to exist till date. This art is emerging day by day. Both established and upcoming artists are coming up with innovative ideas. It depicts how Indian artists are no more confined to a particular medium of oil on canvas or watercolor on paper as they no more have fear to lose their inherent strength and willingness to experiment; rather they are more enthusiastic and keen to explore new ideas and concepts

New media are coming and traditional media continues to boom. It seems that ordinary media and elements are being reinvented and redefined to an unusual extent. Painting is a very strong way to express. Historic traditions and legacy are associated with this medium. It is regarded as a conventional medium. Contemporary Indian artists are trying to provide an unconventional twist to this medium. There is an artist Bharti Kher who has worked with a very different medium like, bindi and has come up with a masterpiece

Contemporary Indian paintings have a beauty that harnesses the power of three-dimensional spaces, which gives an impact through its sheer size. The Indian sculptors are coming up with innovative ideas rather than using the traditional mediums

There are so many exciting mediums the sculptors working with like Subodh Gupta who works with stainless steel utensils. The sculptures which the sculptors are coming up with have a challenge in the terms of cost, logistics, size and space. A good space is required for the sculptures

Evolution of Indian Contemporary Art

- Enthusiasts across the world have always praised Indian art. It has gained tremendous appreciations and is collected by a large number of art admirers. Earlier, Indian paintings have undergone various transformations. Half a century ago, artists used to portray social, political, religious matters, Indian culture and its diversity in their paintings, however, now, Indian art has observed innumerable changes
- The story of Indian contemporary art started after the formation of Bombay Progressive Artists' Group in 1952. The group was founded and established by six eminent modern artists like F. N. Souza, S. H. Raza, M. F. Husain and so on. Later, few more artists got associated with the group which introduced contemporary art to post-colonial India
- Prominent modern artists initiated newest methods and tactics of expressing thoughts. Although the Bombay Progressive Artists' Group got vanished in 1956, it played a significant role in altering the thought, appearance, and structure of the Indian art fraternity
- The group laid the foundation for Indian contemporary art, but that wasn't all it did. In fact, the group made a great influence on several emerging artists. After the solvency of the group, a completely new genre came into existence and that was the genre of new contemporary artists. These artists adopted eccentric designs, earthy and bold colour palette and more. Basically, their paintings were more provoking and mind stirring

Evolution of Indian Contemporary Art

- However, the new age contemporary artists completely took over visionary India and created images relating to the same. On the other hand, some of the painters chose to picture the struggles and social disgrace in the everyday life of the Indian society. Young artists or those in present day concentrate on portraying authentic situations that Indians are facing in their daily life
- It would be safe to say that contemporary art is the art of today. Over the past few years, Indian contemporary art has grown and acquired immense popularity and a global reach. It has succeeded in acquiring the attention of art collectors, critics, curators and auction houses across the globe
- It has carved its way through mediums ranging from paintings to sculptures, and pottery to dining ceramics. The effervescence of Indian contemporary art has hugely enticed the world and has also earned unexpected appreciations from the art critics across the globe
- The biggest benefit it obtained was from the cross-pollination of different regional styles that reflect the concept of a united India. Some of the most sought Indian contemporary artists are T.V Santhosh, Atul Dodiya, Subodh Gupta, and Jitish Kallat
- These artists are known for hypnotizing the global western audience with their unmatched style and unique selection of themes while maintaining the essentiality of Indian quality

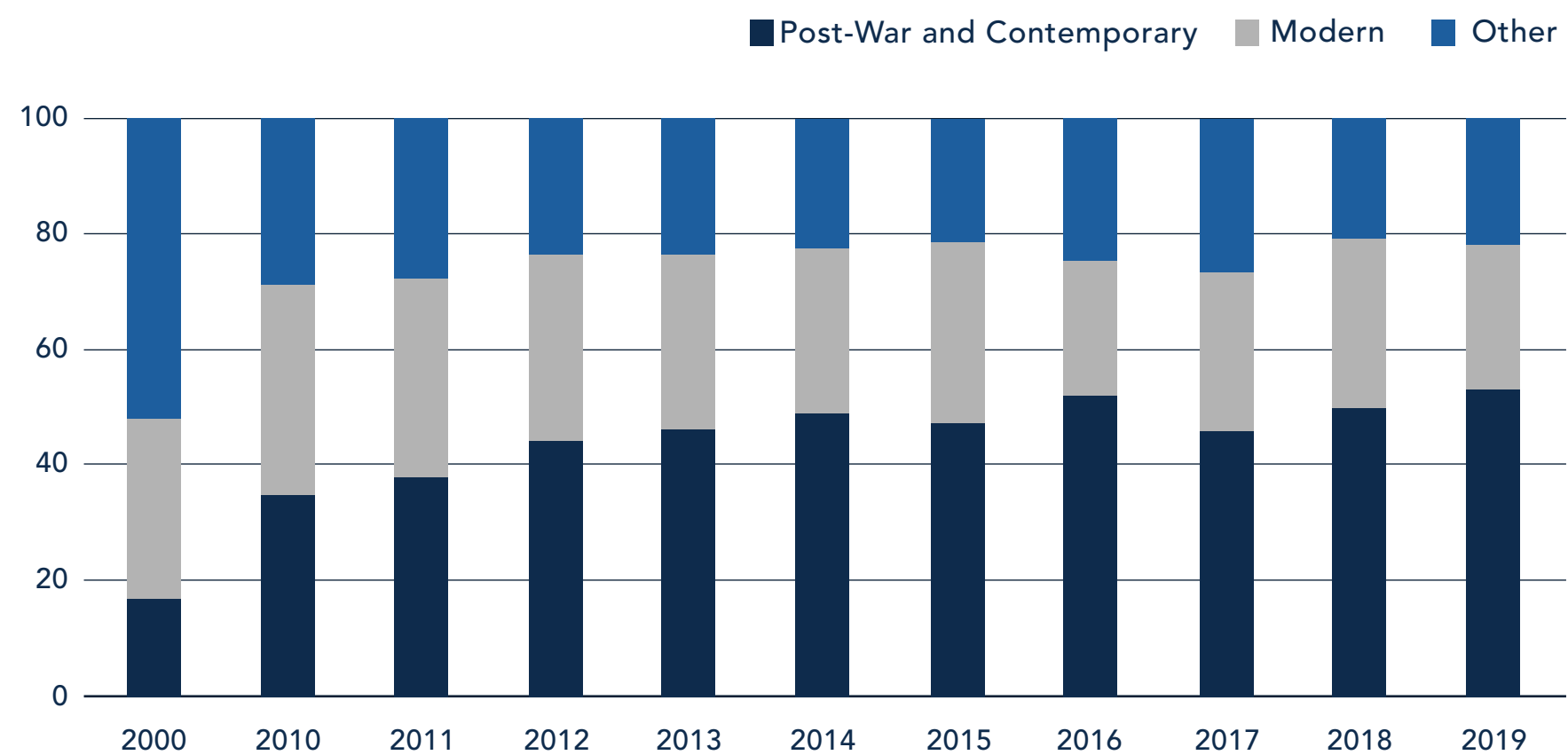
Understanding the Global Market

- Fine art has been a key driver in the growth of the market over the last 20 years and has maintained a larger share in most years than decorative art and antiques by value at auction, as it is where most of the highest priced works are sold
- Within the fine art auction market, however, performance between sectors has varied. Modern and Post-War and Contemporary art have dominated the market for the last 20 years, with the greatest combined share, accounting for many of the works sold for prices over \$1 mn
- In 2019, the largest sector in the fine art auction market by value was Post-War and Contemporary art, which along with Modern art accounted for over three-quarters of the value and volume of sales
- In 2000, these two sectors accounted for less than half of the overall value of the fine art market, with a combined share of 48%, and the Modern sector being the larger of the two. However, since then, in most of the last 20 years, the combined share by value of these two sectors has exceeded 70%, with Post-War and Contemporary leading with the exceptions of 2009 and 2010
- Post-War and Contemporary sales reached their highest share in 2019 at 53%, just marginally higher (by 1%) than in 2016, while the peak for Modern art in terms of share was in 2006 at 36%

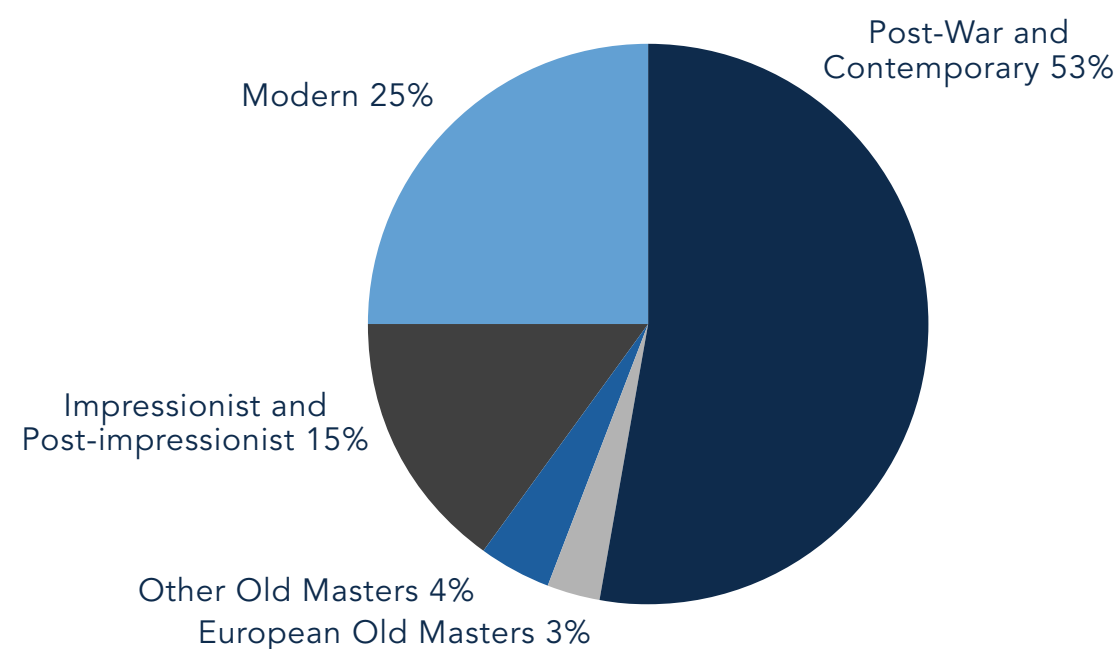
What Comprises the Global Market

Market Shared by Value of the Fine Art Auction Market: Selected Years 2000-2019

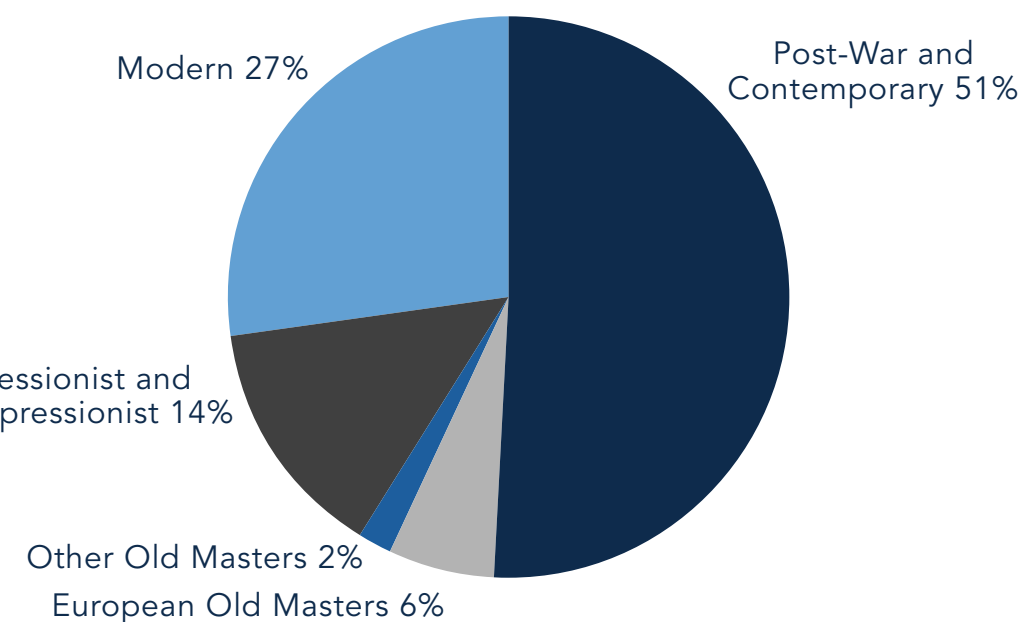
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A. By Value of Sale



B. By Volume of Sale

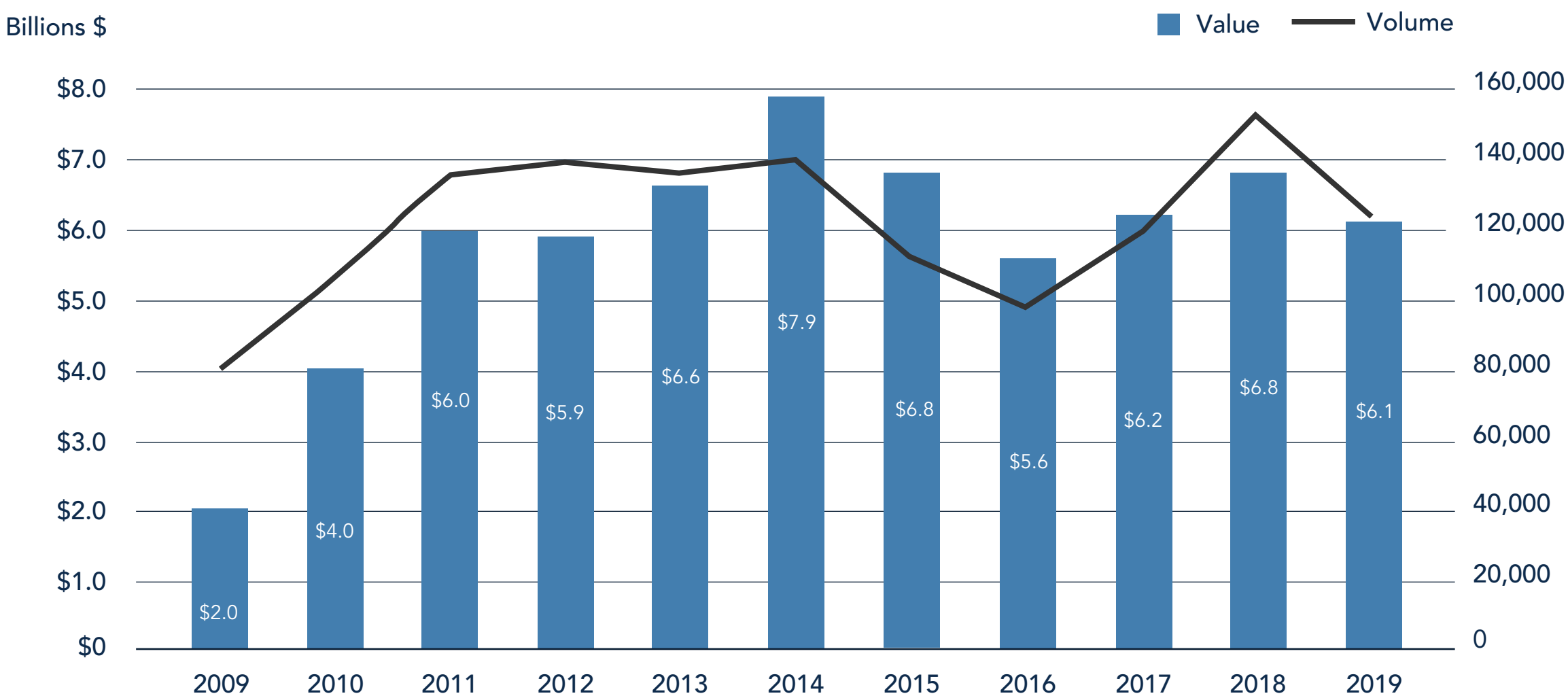


A Deep Dive Into Post-War and Contemporary Art

- This has been one of the fastest growing and most volatile segments over 10 years, with trends highly influenced by sales of very highly priced works. Sales grew rapidly until 2007, increasing by more than 450% in value from the level of 2003
- However, values fell 58% between 2007 and 2009, one of the biggest declines of any of the fine art sectors in the fallout from the global financial crisis as prices and the supply of high-quality works declined. The market rebounded quickly, and by 2014, values had expanded by nearly 300% to reach a historic high of \$7.9 bn
- From this peak, the performance of the sector has been mixed, with negative growth to 2016 followed by better performance in 2017 and 2018
- The reduced volume of very highly priced works in 2019 subdued growth, and the level of sales – although still higher than in 2016 – was 22% below its peak value in 2014
- The US was the leading market for sales of Post-War and Contemporary art in 2019, with a stable share of 42% by value, up 1% year-on-year, and 23% of the total number of transactions, an increase of 3%
- After two years of growth, sales in the US declined by 7% to \$2.6 bn. Despite the drop in sales, the market has still increased in value by 56% over the decade leading to 2019 and has advanced 255% since its low of \$721 mn in 2009

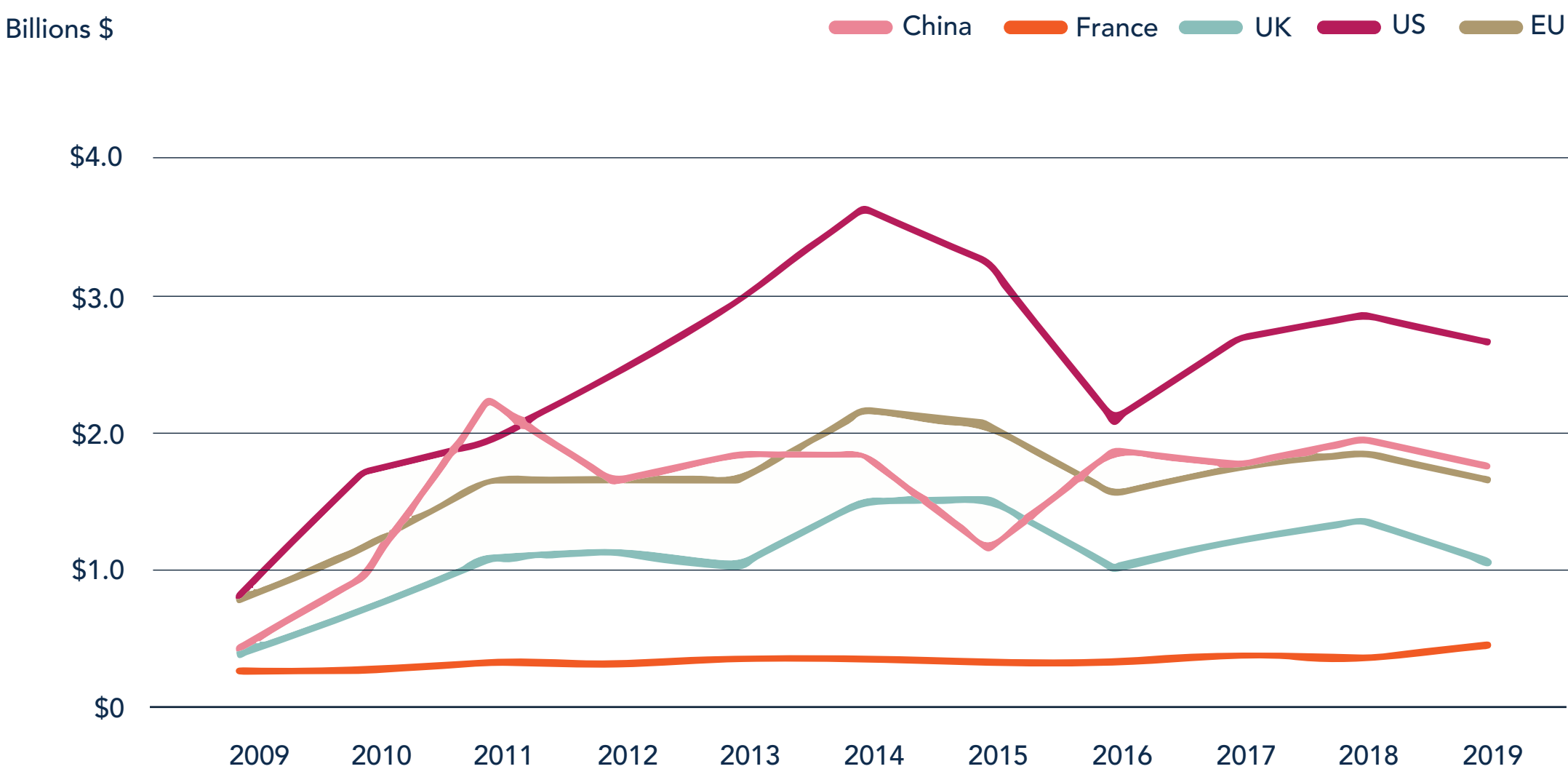
Post-War and Contemporary Art

Post-War and Contemporary Art Sector: 2009-19



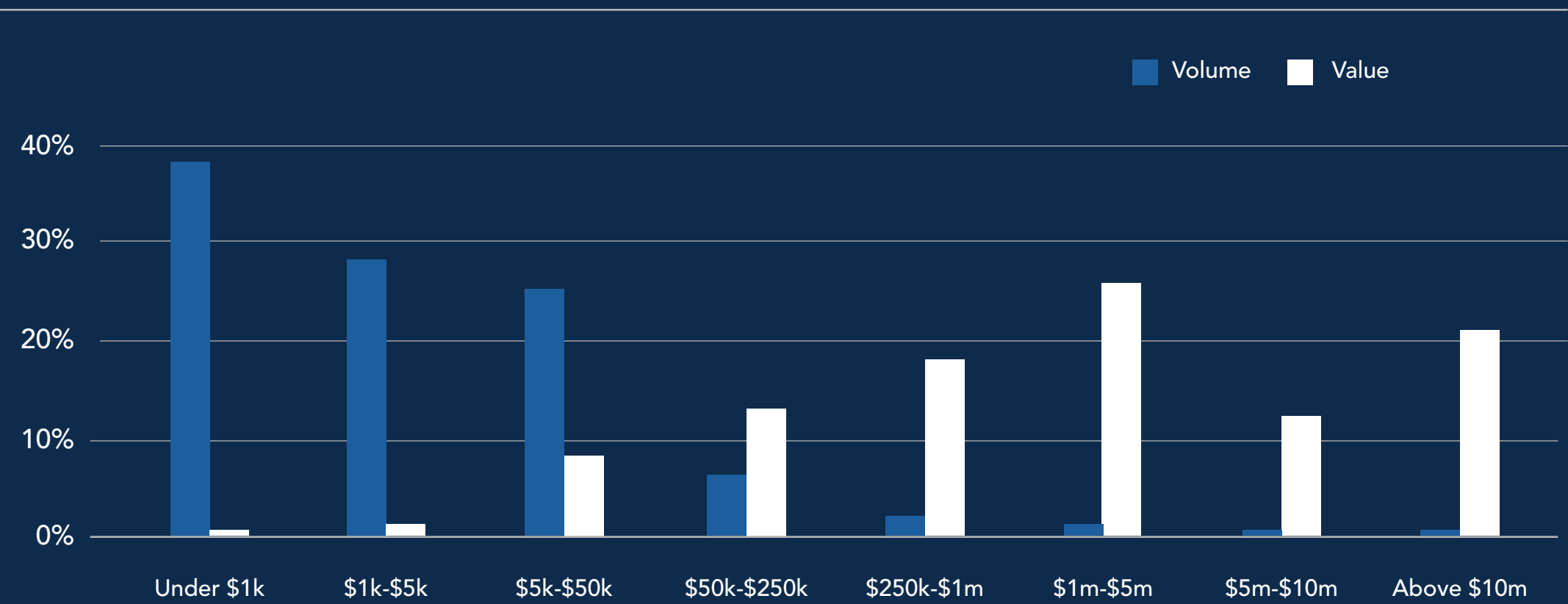
Geographical Dissection of Contemporary Art

Sales in the Post-War and Contemporary Art Sector: 2009-19 : Key Market



Price Break Up of Contemporary Art

Sales by Price Bracket in the Post-War and Contemporary Sector In 2019



What Makes Up the Indian Modern Art Market

- In artistic terms, Modern Art refers to all art produced from the 1860's to the 1970's, which comprised many distinct artistic styles. It was a time when artists sought to reject traditional practices and values, to create art for an age that was rapidly changing, and becoming 'modern'
- Prior to the 1860's, art had been the bastion of the affluent, who commissioned art largely based on mythology, religion or self-portraiture
- But the Industrial Revolution had drastically changed landscapes and lifestyles, and artists could no longer relate to the perfect subjects or scenes portrayed in the paintings of their predecessors
- Artists wanted to respond to modern events and represent the world as they saw it, and not as dictated by a king or an art school. Modern Art was about experimenting and finding personal expression
- India was a new democratic country carved out of the subcontinent and led by the Indian National Congress. During this nascent period of independence, its citizens sought to define its parameters and understand its reason for being
- The cultural sphere was highly politicized. Authors wrote stories and poems that critiqued the way nationalist leaders handled the events leading up to independence and the partition of India and Pakistan
- Within the burgeoning art scene, artists introduced themselves as modern and secular practitioners
- During the 1930s and '40s, a number of communist groups were active in the cultural arena in India. Along with theatre professionals and writers, visual artists joined together under the banner of "progressive" and identified with Marxism

What Makes Up the Indian Modern Art Market

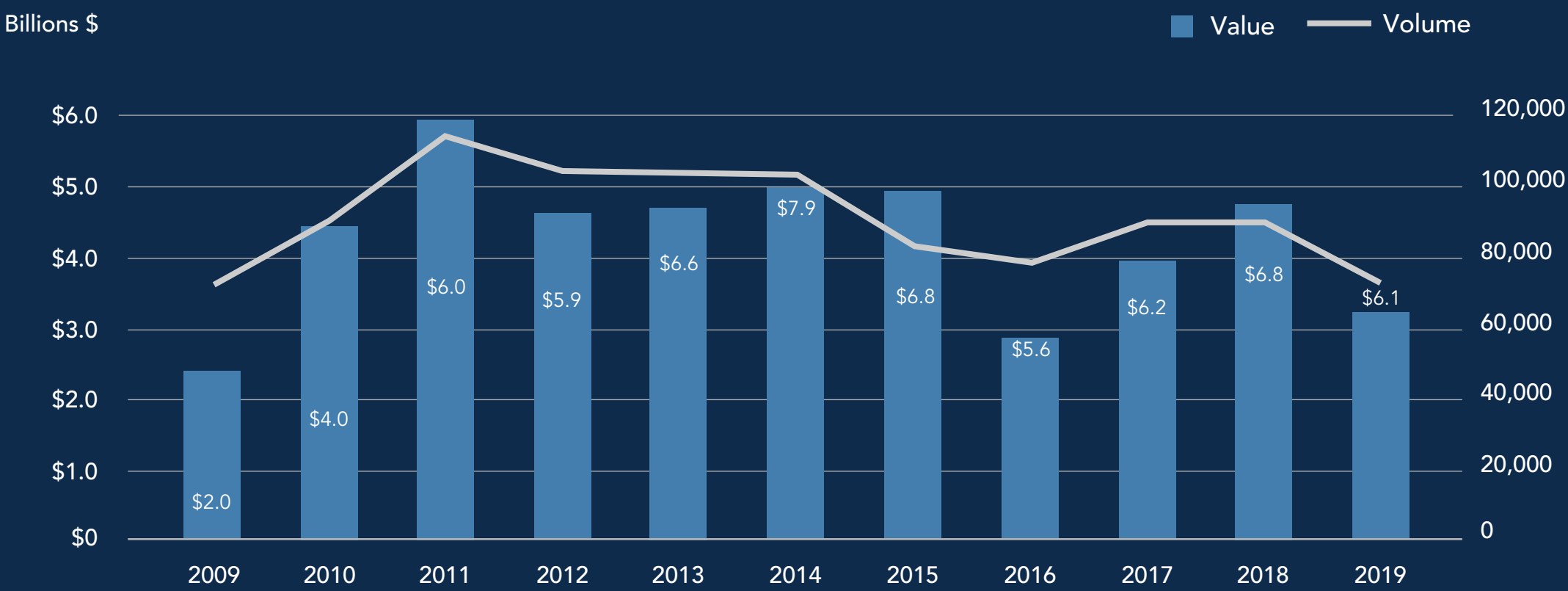
- In Bombay in 1947, Francis Newton Souza (1924–2002), Maqbool Fida Husain (1915–2011), and others formed the Progressive Artists' Group. They had leftist leanings, rejected the nationalist art of the Bengal School, and embraced international modern art practices
- Over the years, Souza gained international notoriety for his erotic and religious paintings that were informed by a variety of styles, including Expressionism, Surrealism, Cubism, and Primitivism. Husain has also worked in a number of international painting modes; he was exposed to the art of Europeans including Emil Nolde and Oskar Kokoschka through the Progressive Artists' Group
- His work, however, retains traces of indigenous traditions; in particular, he had an ongoing interest in Indian cinema. Husain first supported himself as an artist by painting cinema billboards; he later directed films and depicted contemporary film stars in his paintings
- K. G. Subramanyan invented traditions by juxtaposing contemporary art with popular culture, and folk art with urban trends. He studied under Nandalal Bose at Santiniketan outside of Calcutta. This art school, founded by the poet Rabindranath Tagore, emphasized Indian traditions and handicrafts. Subramanyan passed on his knowledge of both popular and fine arts to new generations of artists
- Upon first looking at the work of a number of modern Indian artists, there seems little to differentiate their imagery from art made in other parts of the world. Yet their cultural heritage does affect their work, even if it is not apparent. In his ethereal abstract paintings, Natvar Bhavsar's (born 1934) fields of color breathe and throb
- Ebrahim Alkazi is known for his visual eye, theatrical mastery, and deep interest in the relationship between art and theatre. He even received the "Living Treasures of Bombay Award" in recognition of his contribution to the cultural life of the city
- Director of the Art Heritage Gallery at Triveni Kala Sangam, he was one of the first promoters of artists such as Maqbool Fida Husain. Alkazi now has one of the largest private collections of historical photographs, Sepia International, which is based in New York City

Dwelling Into the Global Modern Art Market

- The Modern art sector remained the second largest in the fine art auction market in 2019, with a share of 25% by value and 27% by volume, both down in share by 4% year-on-year. Sales of Modern art have been lower than Post-War and Contemporary art since 2011, with the margin between them increasing in 2019 to 28%
- Sales of Modern art experienced significant growth up to 2007 but fell sharply in value over the next two years, with the market losing one-third of its value and dropping to \$2.2 bn in 2009
- Strong US sales and the booming Chinese market aided a strong recovery, and the market more than doubled in value again in the space of two years to a historic peak of \$5.4 bn in 2011
- The subsequent decline in 2012 was due mainly to the Chinese downturn, but then sales were relatively stable through 2015. In 2016, as supply contracted at the very high end, sales fell 43% to \$2.6 bn, their lowest level since 2009
- After two years of strong growth from that point, sales declined sharply again in 2019, falling 32% to \$2.9 bn, while the number of lots sold also fell by 20%. Although in 2019 values still remained above their 2016 low, sales in the Modern sector have declined by 28% over the decade to 2019
- China took over from the US as the largest market for Modern art in 2019, with a 41% share of sales by value, up 8% in share year-on-year
- Following two years of growth, sales fell by 16% in China to \$1.2 bn in 2019, reducing the market to less than half of its size at its peak in 2011, when it was also the largest market worldwide in this sector, with \$2.7 bn in sales and a share of 50% of global values

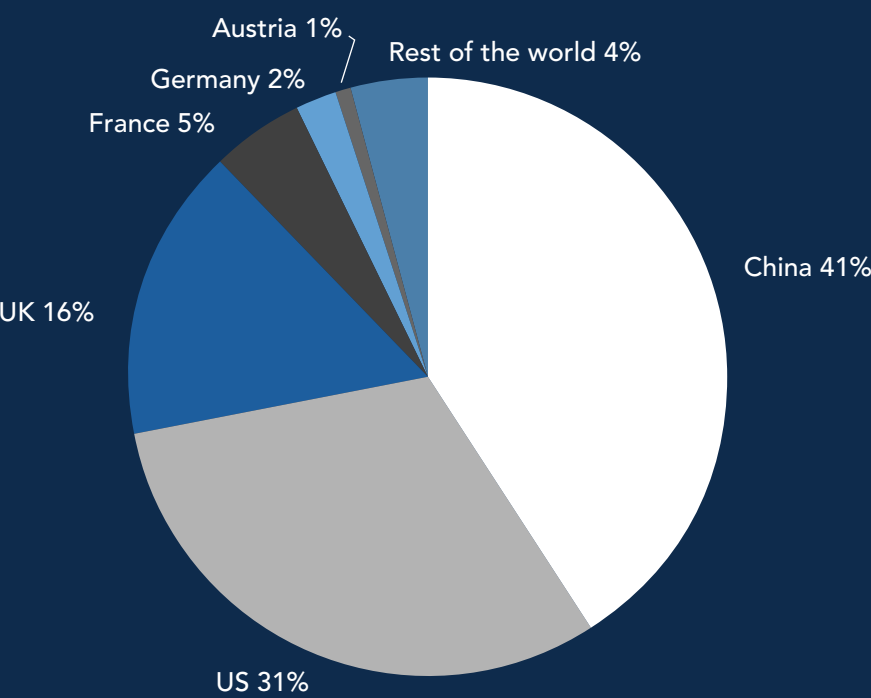
Understanding Modern Art Market

The Modern Art : 2009-2019

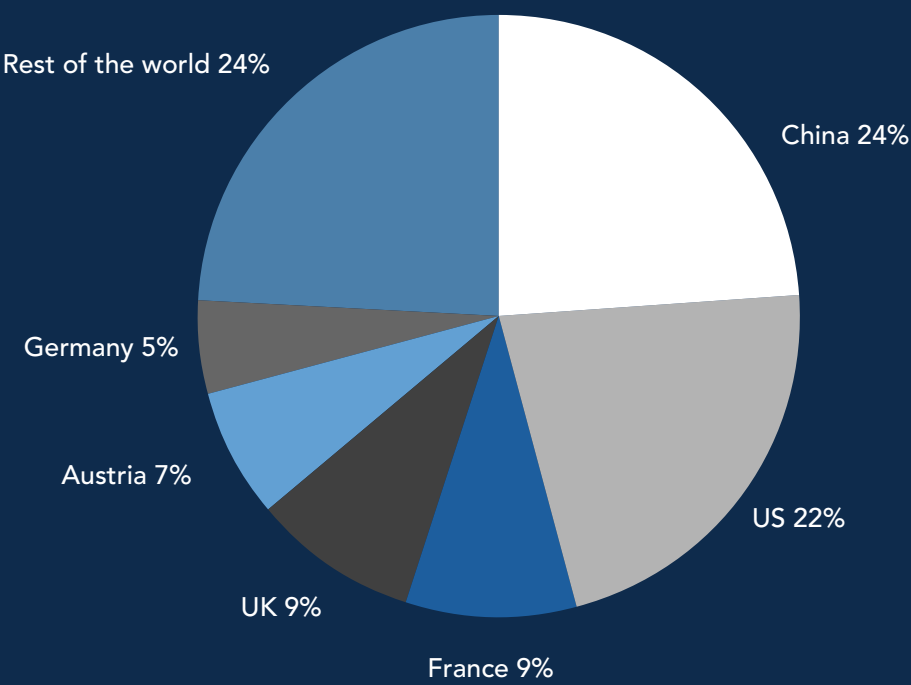


Market Share of the Modern Sector in 2019

A. Market Shared by Value

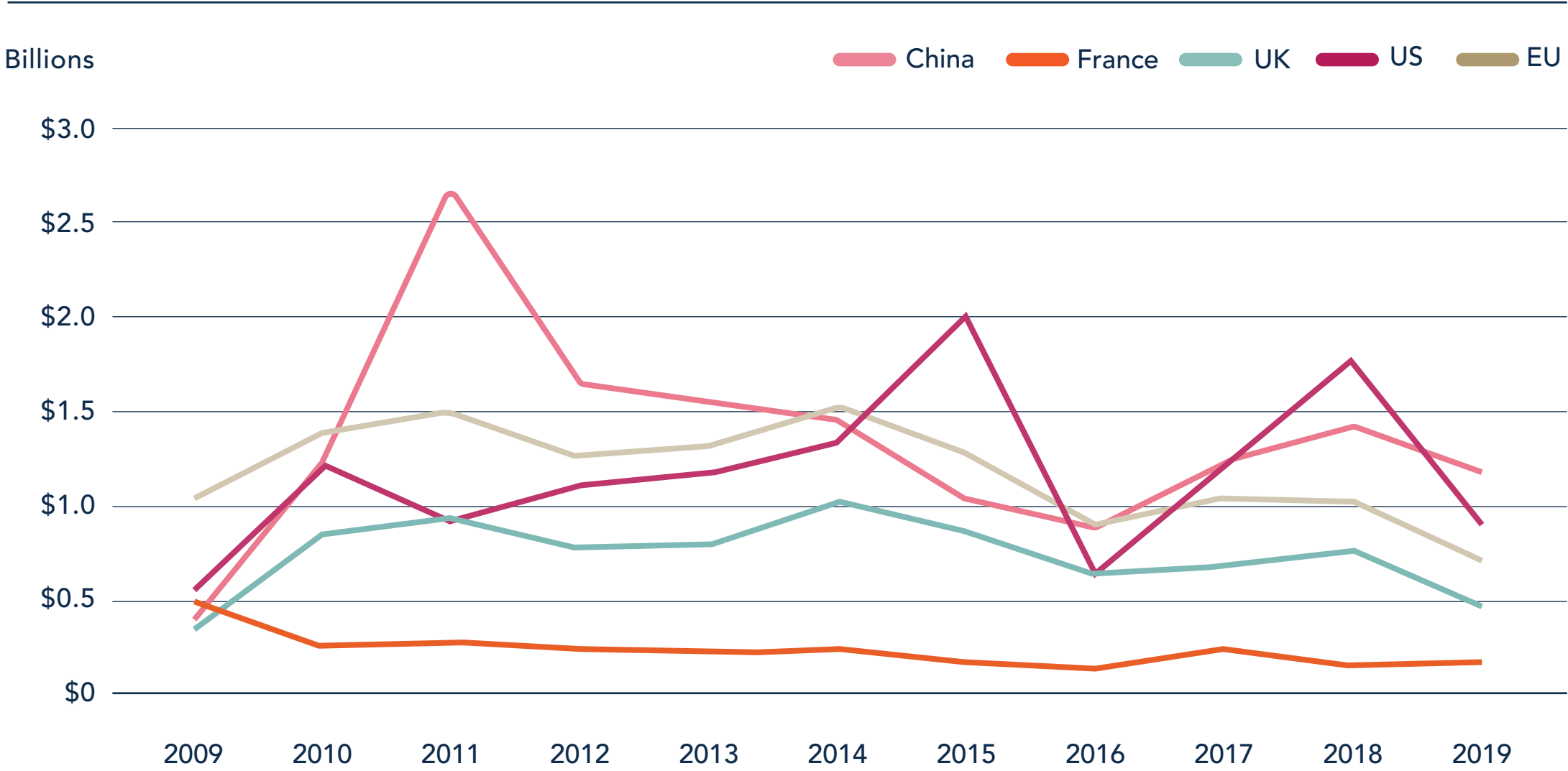


A. Market Shared by Value



Modern Art Market

Sales in the Modern Sector 2009-2019 : Key Market



Trending Modern and Contemporary Art Collectors

Susi Kenna: Based out of the United States of America, Susi is the assistant director of social media for the art world, Fitz & Co. She is also the founder of Nail Art History. She is quite well known for her bold and colourful pictures of contemporary art around New York's gallery and museum scene as well as street art, with the occasional images of nail art

Daniel Turriani: Founder of JT Art Asset, an art advisory and investment company that specialises in Impressionist, modern and contemporary art, Daniel is a well known collector owing to his popular social handle. He is particularly known for his contemporary art work collection by Damien Hirst and Murakami as well as many modern masters such as Henri Matisse and Modigliani

Adrian Cheng: One of the most talked about collector and patron of the moment, Adrian is the founder of the K11 Art Mall. He flaunts, on his social media profile, snaps of Western and Asian contemporary art works, gallery and museum visits across international locations

Theo Lindqvist: Theo is the founder and CEO of Lindqvist Contemporary, an art advisory firm. He is known for his wide range of Modern and Contemporary art which is known to satiate the mind and soul. His social media handle is filled with mostly paintings and sculptures taken across Europe. He also flaunts works from Peter Doig, Gerhard Richter, Jonathan Meese and many more

Carole Server: A former Wall Street executive, Carole along with her husband, are highly regarded for their emerging and contemporary art collections in New York and abroad. They are known to visit galleries such as Blain Southern, Alison Jacques and Paul Kasmin Gallery along with abstract conceptual painting and sculptures and artist studio visits

How the Future Should Shape Up

- With the art industry growing across the globe, India too has been regarded to be a major emerging market which is building strength amid slowing global growth
- Indian Art Fair, which has been one of India's greatest art fairs in recent years, has played a pivotal role in being an indicator of the growing fondness for art among Indian citizens
- Its popularity has grown consecutively over the years and it would be safe to say that the Indian art market has seen the light of the day
- For the 2020 Indian Art Fair, over 75 galleries and institutions from 20 global cities were to participate which is a reflection of the steadily growing art market
- In the past two years specifically, the Indian Art Fair developed a strong identity, gaining an international reputation for promoting South Asia's freshest talents alongside established names
- The growing popularity of Indian artists and art is testament to the fact that the market is headed for growth in the coming years
- The Indian art fraternity is optimistic that with the strong programme and works of 2020 will appeal to the growing number of local and international collectors and museum groups
- The past years witnessed slow growth however the bigger picture here is that in spite of the global signs of a recession on the verge of a breakthrough the stalwarts of the industry show positive signs and are optimistic about the future of the art industry

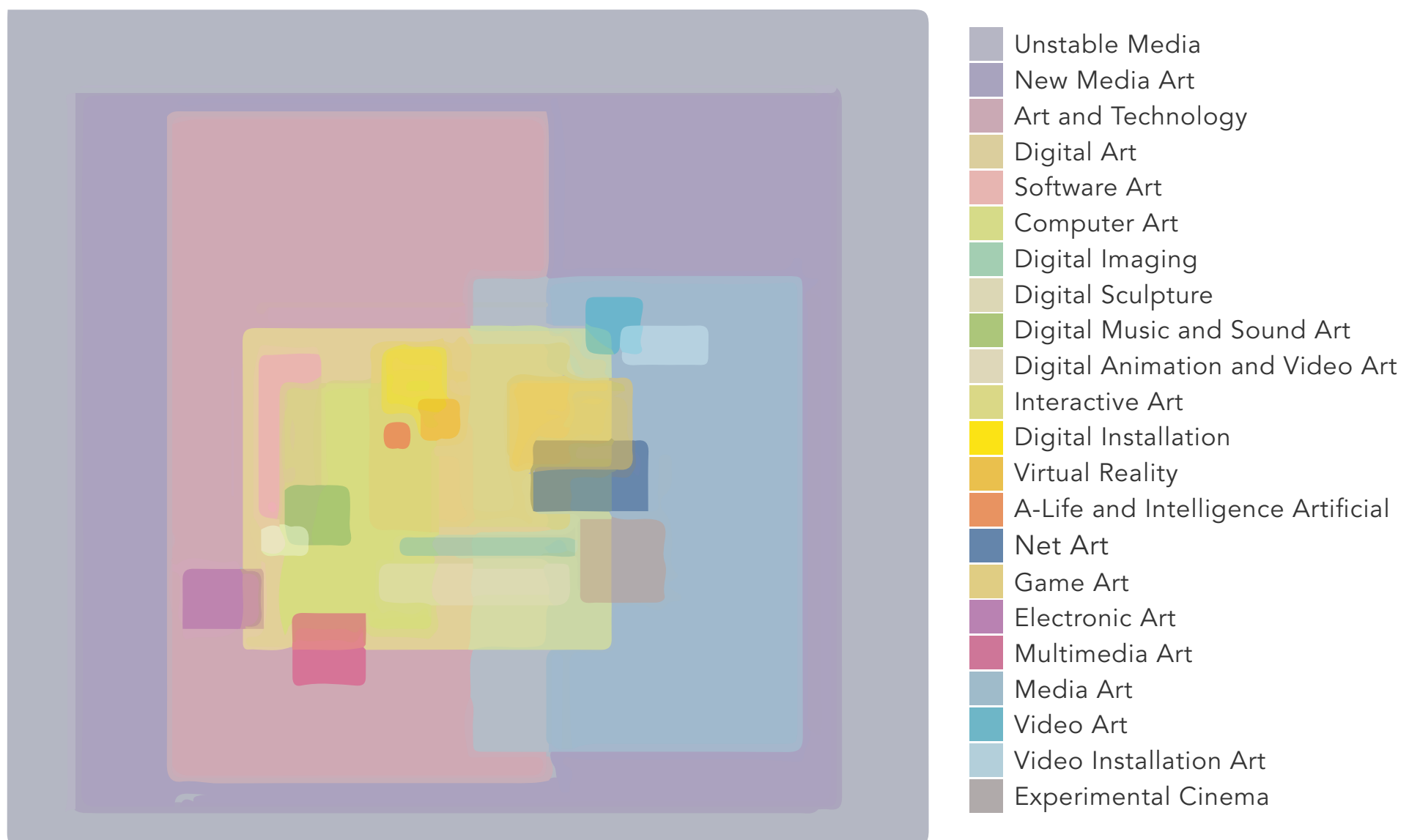
A decorative circular graphic composed of numerous thin, curved lines in shades of blue, purple, and red, arranged in a circular pattern around the central text.

*Now and Beyond*TM

Understanding New Media Art

- New Media Art comprises artistic expressions based on technologies of the communication media. A work is considered New Media when it uses the outcome of some of the possible combinations of the 3 C's: computing, communication, content
- It is the latest type of contemporary art- a sort of ultimate postmodernism, and with the growth of Artificial Intelligence (AI), it has the potential to attain almost complete artistic independence
- Though the term "New Media Art" remains undefined due to the constant change in state of technology, it typically includes traditional disciplines that use computers- for instance, it encompasses computer-controlled kinetic art (especially sculpture) or computer-generated painting- as well as equivalent forms of applied art (computerized designs, architecture)
- There remains ambiguity on synonymous usage of the terms- New Media Art, Computer Art and Digital Art, and also on certain terms such as virtual reality being classified as techniques and tools for the creation of art as opposed to a form of art itself
- With the internet being an important means by which computer artists publicize their works- artists submit their creations to online galleries or self-publish by uploading their works to personal blogs or website. The internet has also created interactive possibilities which some artists use to create a virtual experience
- Traditional fine art, which includes painting, drawing and sculpture differs from New Media Art- once created, digital art can be easily mass produced
- Contemporary artists disagree insisting that computer art is a highly skilled trade which can take years to master, explaining the popularity of digital art courses in art schools

Categorising New Media Art



The Components that make up New Media Art

- The frontier between all these artistic practices is usually very blurred, independently of categorisation and uses. However, they are classified as:
- Digital arts are those artistic practices that consume, process and/or produce digital information, usually audio visual, that always demands the use of a computer, or at least of those technologies with digital processing capacity such as microcontrollers, microprocessors, digital signal processors, etc
- Software art and computer art are two categories used indistinctly to define, imprecisely, the same thing. Computer art is any practice in which computers play the role of production or visualisation of the work. Software art, however, is related to the creation by means of algorithms and it is centred in the code itself
- The art of digital imaging, includes works that were created or manipulated digitally to be printed in a traditional way. The image can also be combined with traditional media, such as drawing and painting, or incorporated in installations, sculptures or videotape projections
- The art of digital sculpture comprises those projects of creation of tri-dimensional objects that use digital technology. The virtual sculpture emerged as an evolution of the digital sculpture. In the virtual world the sculpture rules have no limits: there is no gravity, and the nature, location and size of the materials are infinite. The artist does not only have absolute freedom in the creation of their piece but they can also examine it from any point of view and can create a virtual and interactive world to place it in
- The animation art and digital video art is the digital counterpart of the traditional animation, cinematography and video. The 3D computer animation belongs exclusively to the digital domain. The production of audio, video, and even high quality digital cinema, because of the spectacular development of the techniques, instruments and devices of audio and digital video, have broaden their use by even questioning the own essence of the audio visual market
- The interactive art comprises all those practices that usually require the interaction or the spectator's participation without the artist's control

The Components that make up New Media Art

- The traditional video art in many cases is not sub categorised under digital art. However there exists an intersection of video art and interactive art where interactive works that use digital video to generate new realities coexist. A video, or even a video channel, would probably be considered videoart or video installation if it is part of a sculptural complex, or interactive art if it requires some sort of interaction. It will be an animation in case it is generated by a computer, virtual if it does not correspond to some reality or net art if it is based on the Internet
- Digital installations, one of the most complexes and fascinating areas in digital art, constitute interactive environments built with digital technology such as processors, microcontrollers or computers, sensors, communication devices, etc. that can be as complex as any robotic system. This is, with more expansion in contemporary art, and the one that presents greater conservation and restoration challenges
- Virtual reality allows the creation of experiences of immersion. In general a computer interface that generates artificial environments in real time or representations of a perceptive reality is considered without an objective support. The virtuality establishes a new form of relationship between the use of space and time coordinates, overcomes the temporal-space barriers and configures an environment in which the information and communication are accessible from perspective that were ignored up to now, at least regarding their volume and possibilities
- Life art and artificial intelligence (a-life) were born from the old aspiration of reproducing the characteristics of life by means of the intersection of robotics engineering, computer science, and biology. Now, the influence of AI on art is huge
- The net art defines the artistic activity based on the Internet. The use of Internet like mean of expression limits the technologies and specific services that can be used, such as web surfing, email and file transfer, and, in turn, affects the specificity of its conservation, restoration and interaction

Computer Art- Broad Classification

Computer Graphics

This is a lucrative area, involving use of specialized software to create computer images

The images can range from something quite basic (like a company logo) to incredibly sophisticated animations and realistic computer generated film (special effects)

They have revolutionized the computer game, movie business and animation industry

Digital Installation Art

This is the use of computer technology to produce large-scale public art projects

It can involve projecting film or computer generated images onto an object like a wall or even an entire building front

Typically the 'artwork' is movable and considered to be scalable site specific art which means it can be beamed onto any surface anywhere, to accommodate different spaces

Computer Art

Generative Art

Here, artworks are generated in a random automated manner by a computer program using a mathematical algorithm

To qualify as generative art, the artwork must be created with a certain degree of autonomy, which is, with limited artist influence. The artist usually sets the ground rules for the formula but then the random process takes over

The advent of artificial intelligence and robotic sculptures has introduced new behaviours into this art form

Computer Illustration

Also called digital illustration, this is the use of computer software like Adobe Illustrator to produce works of art, similar to traditional fine art

While photographic elements might be incorporated into such works they are not the primary basis of them. More often than not, digital illustrations are produced from scratch

It is typically employed in the fashion industry by designers for their design mock-ups

Additional Pillars of New Modern Art

Installation Art

- Installation art is a relatively new genre of contemporary art - practised by an increasing number of postmodernist artists - which involves the configuration or "installation" of objects in a space, such as a room or warehouse. The resulting arrangement of material and space comprises the "artwork"
- Because of its flexibility and three-dimensionality, installation art is influenced by developments in computer art - such as software developments in video and film projection - as well as techniques used in avant-garde theatre and dance. Architectural and interior design are other influences

Types of Installations

- Installation art includes gallery based, computer-based, electronic-based, web-based art- the possibilities are limitless and depend entirely upon the artist's concept and aims
- With some compositions being strictly indoor, others such as public art are constructed in open-air community spaces, or projected on public buildings

Digital Installations

- Digital art installations are on the rise and are having huge impacts on the way people engage with public space. Viewers are adjusting to observing artworks on a screen too. Museums and galleries are following suit, building new exhibition spaces suited to digital art installations and projections. Digital art installations offer new opportunities for viewers to actively participate in the artwork. Artists and designers have the opportunity to play with the "real-virtual" boundary between the viewer, or "user," and the digital dimension. Unlike a traditionally static sculpture or mural, technology allows a user to see the art change or to participate in the making of the art piece
- Interactive technologies, including "digital graffiti walls" and "sound clouds" are used- adjusting their colours according to the ambient noise around them

Multi-channel video installation

- A multi-channel video installation consists of two or more display devices, such as monitors or projectors, used in the same work of art, in the same viewing space. The viewing space may be expanded to multiple monitors throughout an entire museum, or two projections situated side-by-side or overlapping

Additional Pillars of New Modern Art

Photomontage

At its most basic level, this is a single image combined of two or more original and/or existing images. The artist in question produces a montage in order to encourage their audience to think about the relationship between the grouped images. Photographs are then pieced together, via an interactive system, to create a single photograph that better conveys the photographer's subjective perception of the scene. This is called digital interactive photomontage

Limited Edition Prints

- Limited edition prints are the most valued type of fine art photography prints by virtue of their limited supply. The value of artwork increases as the availability becomes more scarce. For some serious art collectors, not only do they want a fine art photography print that they like but they also want a unique showpiece for their collection that not too many other people also own
- In the pre-digital era, artwork had to be created by-hand and each piece was truly one-of-a-kind. This method was limited edition by-nature of the process. In today's digital world, the artist has to determine ahead of time what the edition size will be. Some photographers choose to create limited editions that number in the thousands. That is a very large number to be honest. While it may technically be limited, the edition size is essentially mass-produced

Frequently Utilized Technologies by Artists

3D Printed Art

3D printing allows artists to create highly detailed and infinitely manipulable models, which can be presented as artworks in their own right or which can be used as scale models for a larger piece.

Interactive Art

Interactive art and installation art have been around since the 1950s, but recently digital developments have allowed artists to create completely immersive experiences, which the viewer can interact with on a number of levels

Online Art

With the prevalence of the Internet and our constant visual consumption online, it makes sense that we're starting to see artwork, which only exists on the web. Much of this work challenges the conventions of the art world since websites can usually be accessed by all and are difficult to sell on the traditional art market

Augmented Reality

Augmented reality programs use existing cameras and smart technology to add layers of information and imagery to a user's view of the world. Augmented reality offers a unique crossover between the physical world in which we live and the digital world in which we spend much of our time. It's being adopted by museums worldwide in order to engage viewers, particularly younger ones, with the art and artefacts on display

Artificial Intelligence in Art

Imporsonating

The beginning of using AI to create art was by first teaching it to understand and replicate existing art. The technique is called style transfer and it uses deep neural networks to replicate, recreate and blend styles of artwork. It identifies and combines stylistic elements of one image and applies them to another with no artistic or coding experience

Another form of imitation similar to style transfer is image-to-image translation, which can convincingly change the appearance a photo or video, allowing users to edit the image's context, such as time of day, season or weather

Collaborating

AI plays a role beyond imitation- helps in developing a collaborative relationship between artist and AI

Artists are beginning to more actively influence and massage the results of the artwork they create with their machine learning algorithms- changing their relationship with the AI to be more of an ideation partner, rather than simply a tool for making new tools

AI doesn't just collaborate by processing images and sounds through math equations. It can also inform and inspire artists who want to discover new insights, connections, or patterns across a large set of data points, for example, the trending emotions of the entire world

Creating

Leveraging on the impressive results obtained by deep learning methods on production task such as applying for filter and style transfer, approaches have been presented to generate art

These systems do not involve a human artist in the creative process, but involves human creative products in the learning process. The outcome of the system is original artwork that is being tested "Turing-style" against human art

Hurdles that have Surfaced

- For the artists, changes in the industry can be problematic as they need to remain up-to-date with new skills such as coding and find ways to access the latest technologies- which can be expensive
Generating images from the description is still challenging even if recent works have significantly improved the state-of-the-art
- In the last few years, the main focus of images generation using AI has been photorealistic images. While the generation of art images have been proved to be possible and relevant, it is still challenging. Instead, style transfer between images can be considered solved and only minor improvements are expected
- Many production and consumption techniques rely on the capability of automatically understanding the content of the image. AI has significantly increased the type of objects, relationships, actions, events that can be recognized, but the overall task of understanding is still challenging
- Cross-media search, as using text queries for retrieving annotated images, is a recent promising approach to allow the retrieve of images, out of huge image databases. However, cross-media search is still challenging, especially when issues of expressiveness and scalability are also taken into account
- Techniques for automatic reconstruction of missing or damaged parts of images work well on simple scenarios as, for instance, faces but improvement is required to work satisfactorily on generic natural scenes

Trends and Forecasts

Emergence of pop up immersive digital art venues within museums, galleries, private institutions and public spaces

Likely the hype for immersive experiential ticketed exhibitions will only increase in 2020. Highly entertaining and accessible for the general audience, these shows are a great introduction to contemporary digital art and create easy avenues to experience it in a physical setting

Increasing collaborations between digital artists and brands

Collaborations between artists and brands have been popular for a long time. Now, with the abundance of the commercial screen space and increasing access to digital creators through social media and online platforms, growth in this trend and more development in the digital space is likely to be seen

Expansion of the market for high-tech art

Art created by Artificial Intelligence had a huge impact in 2019 and late 2018. With the announcement for the first-ever virtual reality work to be sold at an auction in 2020 (Marina Abramović's *The Life* (2019)), growing interest in new tech among artists and collectors is seen and the market is expected to respond accordingly

Increase in accessibility of innovative technology for collectors

Major issues for collectors who invest in digital art is authenticity and availability of user-friendly presentation and collection management tools. The increase in this accessibility of innovative technology will result in new solutions to display and manage digital art collections in home, office and commercial spaces

Increase of digital art in museums and institution collections

With the growing popularity of contemporary digital art, and its market value increasing, museums and public institutions are understandably looking to get a piece of the pie. Additionally, the age of early digital art means it is primed for institutional retrospectives and purchases that preserve important works in the public interest

Trends and Forecasts

Popularization of photography and printmaking

With the fast-growing open-minded middle class worldwide, there is high scope of success for limited-edition art forms. Less inclined to follow in the footsteps of collectors before them, these up-and-comers will have more individualized and sophisticated tastes and will push the multiples to a new height

Decline in the viability of video art

While Video and Media-based art will continue to thrive at museums, on the Internet and in our lives, the commercial viability of this art form will be in severe doubt

A signed copy of a limited-edition video by a well-known artist will not have the cache, if the same video can be downloaded on the Internet, for free

Modernization of the gallery business

Galleries will be forced to become sophisticated retailers and will begin employing strategies that are currently used by luxury and other retail companies

Artists will benefit from these changes and will force galleries to stop using ridiculous techniques like exclusivity clauses in their contracts, a trend already visible in the major Asian markets

Disappearance of small galleries

It will be an era of large generalized galleries and small specialized galleries. Galleries will have to define themselves as large retailers or transform themselves into very specialized boutiques. The gallery will either have to cater to a large audience or to be recognized as an expert in a particular niche

Potential Growth Opportunities

Art Market Professionals

- For art market professionals, this creates many opportunities in the area of digital art acquisition, display, digital collection management and conservation
- As the digital market is relatively new, the business development potential is almost unlimited. This includes new platforms for fractional ownership of high-quality digital art, subscription services for digital art leasing, digital art insurance and so on.

Art Market Professionals

Digital Art brings numerous benefits for art collectors

- The current prices even for established artists are low relative to traditional art. The novelty factor plays an important role as contemporary digital art provides unprecedented new experiences for audience
- The liquidity of digital art is significantly higher than that of traditional art as digital art is easier to trade, own and maintain
- There are also unique social and transactional aspects to owning digital art as often there is existing global community of artists, buyers and sellers behind them

The pricing models for digital art, especially for emerging artists, are still in development and are hugely driven by the community of artists and early collectors. This may result in a more dynamic market in the future

Institutions that Support Digital & New Media Art

Ars Electronica

CADAF (Contemporary And Digital Art Fair)

Christie's Art+Tech Summit

DIGITAL ART MUSEUM: teamLab Borderless

Eyebeam

Gray Area Foundation for the Arts

HeK- House of Electronic Arts Basel

iDAF (International Digital Art Festival)

MoMA

Digital Art and Culture Symposium

New Art Academy

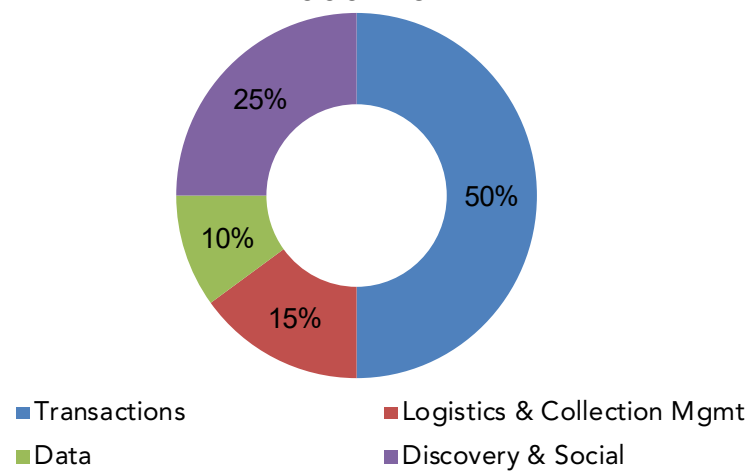
New Museum/Rhizome/Net Art Anthology

Whitney Museum, Artpost

ZKM Center for Art and Media (Karlsruhe, Germany)

ArtTech- Future of the art world ecosystem

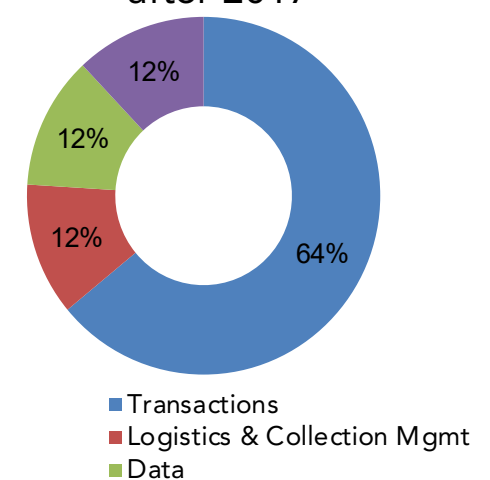
ArtTech startups funding by %, 2000-18



How have technology startups performed in the art world ecosystem?

In the last eight years, the first generation of ARtTech startups have received nearly US\$600 mn in investments. As a result, Art-Tech Gen I has successfully pushed through the barriers to entry blocking access to the 200-year old fine art ecosystem. We now find ourselves entering the next phase of art and technology. Gen I focused on the segments of the ecosystem that “directly sell art (transactions)”

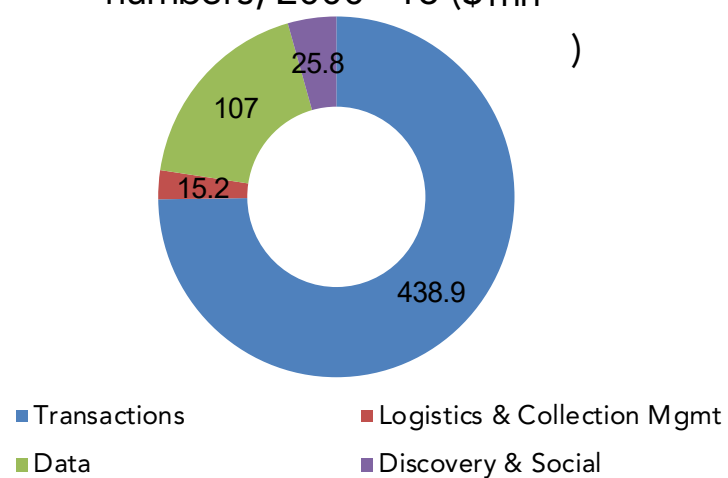
ArtTech startups emerged after 2017



What is your prediction for Gen II ArtTech startups?

New ArtTech (beyond 2018) startups are carving out a niche for themselves in relation to art business segments. Peripheral Business Segments” consist of several key areas: logistics, insurance, contracts, legal, storage, data, standardization, education, and new artist discovery

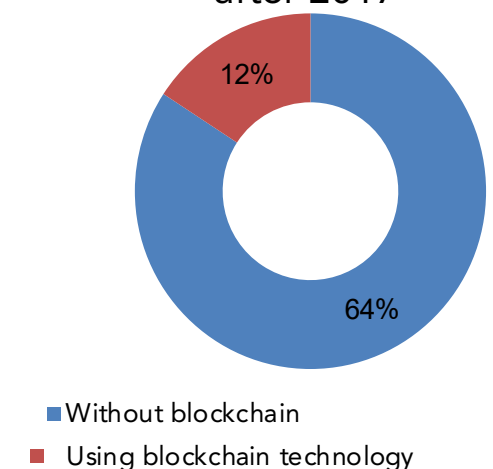
ArtTech startups funding by numbers, 2000-18 (\$mn)



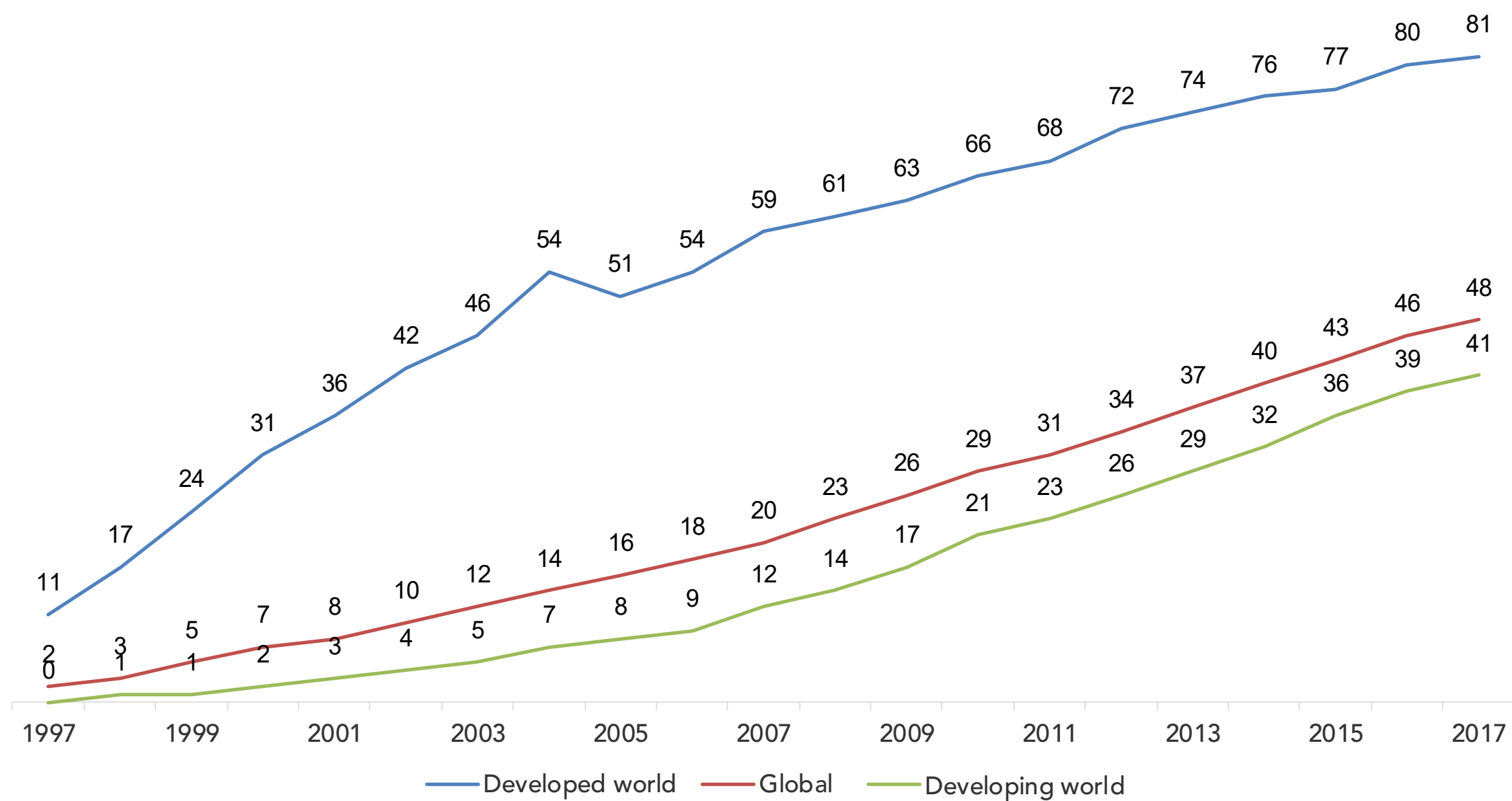
What is the greatest challenge facing Gen II ArtTech startups?

A 72% increase in ARtTech startup investment has been witnessed since 2013 and over 30 ARtTech startups have emerged since 2017

ArtTech startups emerged after 2017

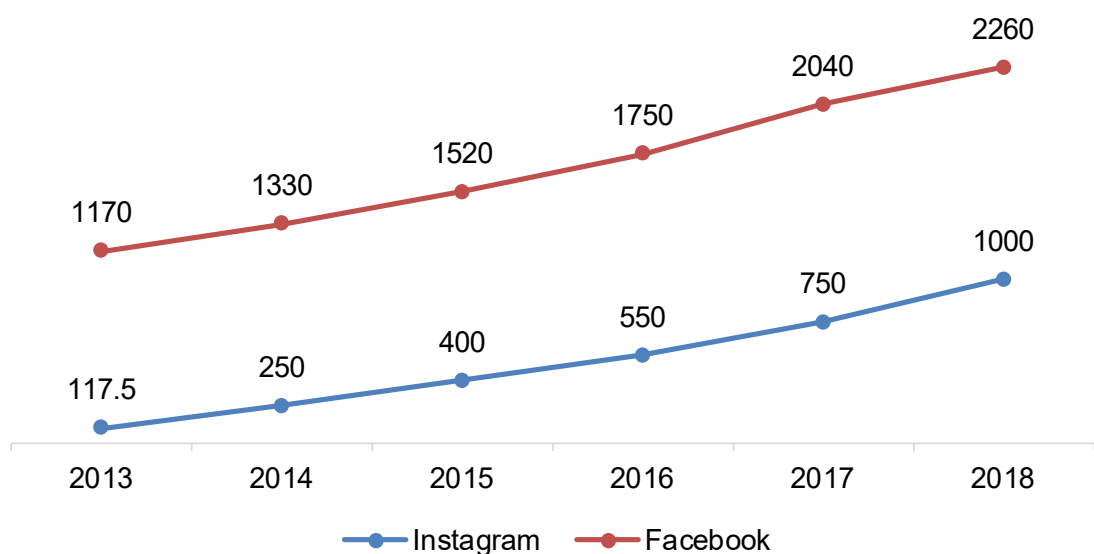


Internet Users per 100 Inhabitants

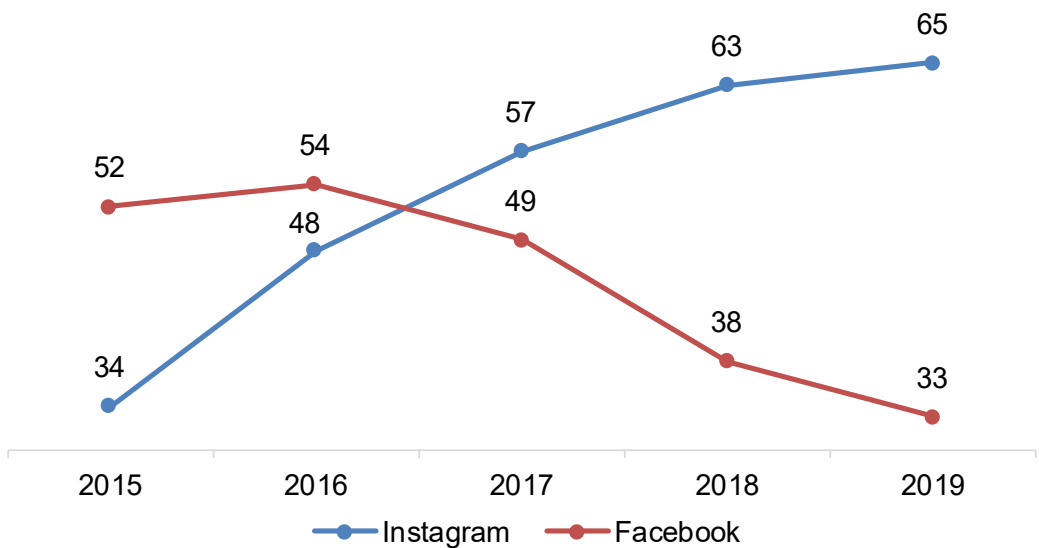


Social Media- Usage & Influence

Number of people using social media platforms (in mns)



% of respondents- More used social media platform for art-related purposes?



34% of all survey respondents (and 43% of respondents under the age of 35) said that social media influenced their decision-making when buying art, up from 32% in 2018 and 29% in 2017

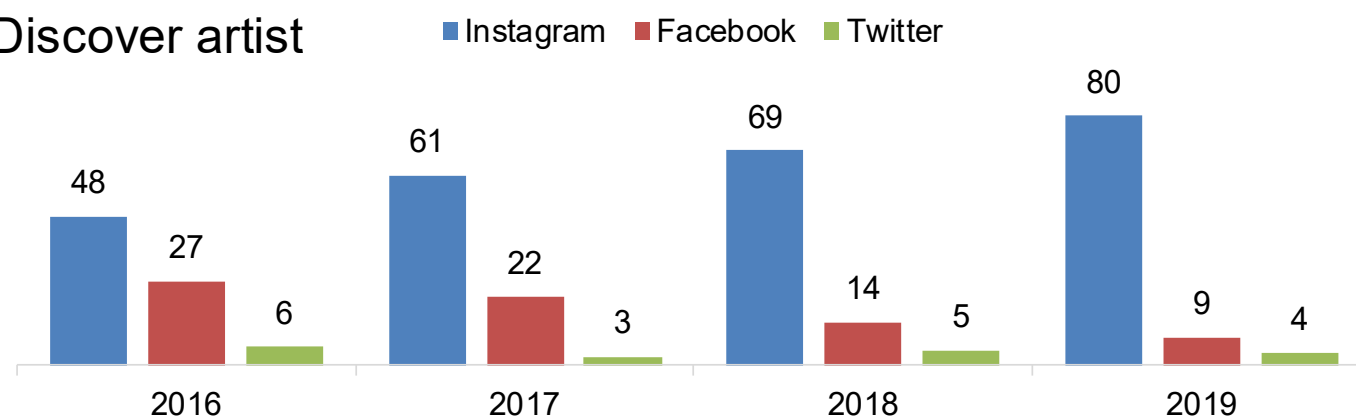
67% of all respondents (73% of respondents aged 35 and below) said that the posts by artists and their studio had the biggest influence when buying an artwork. This was followed by 68% who said social media posts by the artist's gallery carried most significance when buying an artwork by an artist

65% of all survey respondents say Instagram is their preferred channel for art-related purposes (up from 63% in 2018 and 57% in 2017)

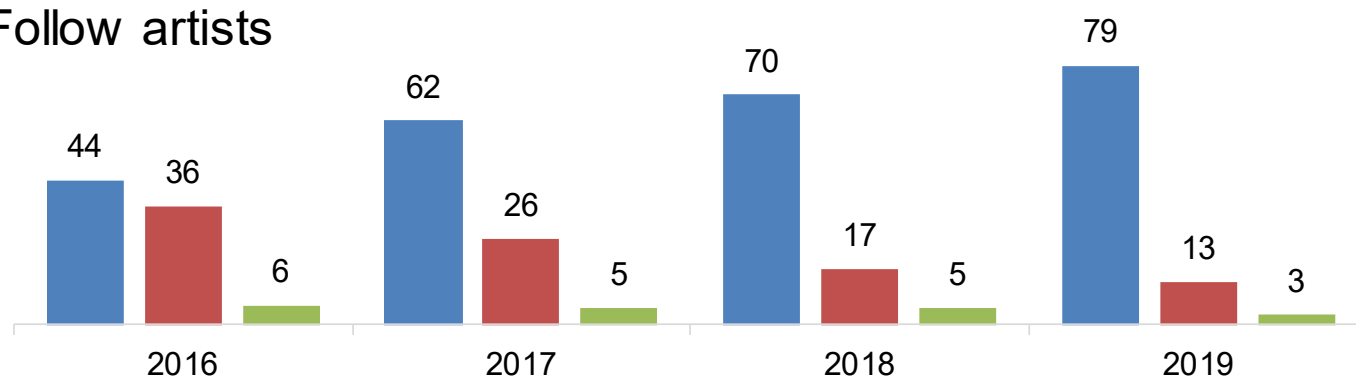
Social Media- Usage & Influence

% of respondents using social media to:

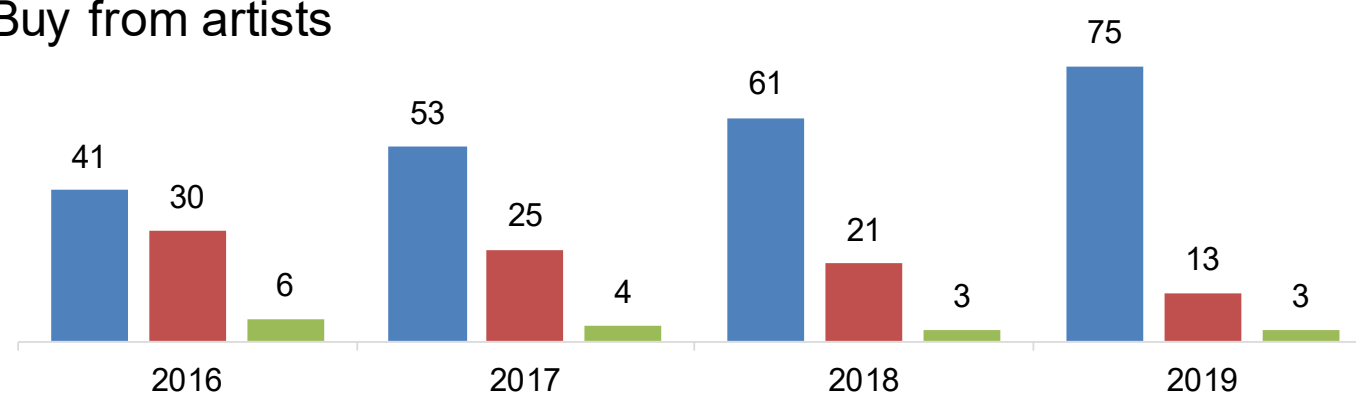
Discover artist



Follow artists



Buy from artists



Highlights

- 80% of art buyers use Instagram to discover new artists
- 79% of art buyers use Instagram to follow and keep up-to-date with artists with which they are already familiar
- 75% of art buyers use Instagram to see what is popular and/or trending
- 75% of art buyers use Instagram to find art to purchase
- 34% of art buyers said that social media had an increasing impact on their decision to buy art (up from 32% in 2018)
- 89% of the galleries surveyed actively use social media
- 75% of art galleries surveyed use Instagram to promote their artists and their exhibition programme (up from 61.5% in 2018). 54% of these galleries find Instagram the most effective social media platform in terms of selling and generating direct sales leads

Summary

This report is aimed at encouraging and empowering all the stakeholders of the Art Industry to create & contribute towards a sustainable model of growth, especially for the unorganised Indian market in accordance to the global standards.

In order to facilitate and understand the demand better, the report takes an aim at decoding the buyer at both national and international level. We saw what factors motivates them to buy or invest in art which can be utilised by the artist/ art houses/ auction houses to curate their collection according to their strengths which appeals to the buyers.

The next section of the report deep dives into India's exports in the sector which is largely dominated by the handlooms and handicrafts verticals. Its neighbours, Bangladesh and China were the biggest importers of Indian handlooms, however the share by the most populous country in the world has seen a declining trend for the same. We tried to analyse the hurdles faced by the Indian handicrafts and handloom producers and put forth some solutions towards giving a boost to the trade and how the advent of technology could act as a catalyst of growth. Observing the global trends, modern and contemporary art holds its distinct position, we dissect this category by geography, price, period and buyer. We put forth a contrast to the Indian and Global markets in the Modern Art segment to extrapolate the future of Indian modern art.

We have witnessed the ever involving technologies transforming various industries, the art world is no different. We deep dived into the new media art forms and how technology is utilised with different art forms. Analysing the hurdles that has surfaced in modern times, we also proposed some potential growth opportunities with forecasted trends that will drive the vertical. Internet has its impact on the perception of the industry which in return affects the value of artist as well as their work. We have seen a surge in the utilisation of social media platform by the stakeholders to influence the purchase pattern of artworks.

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